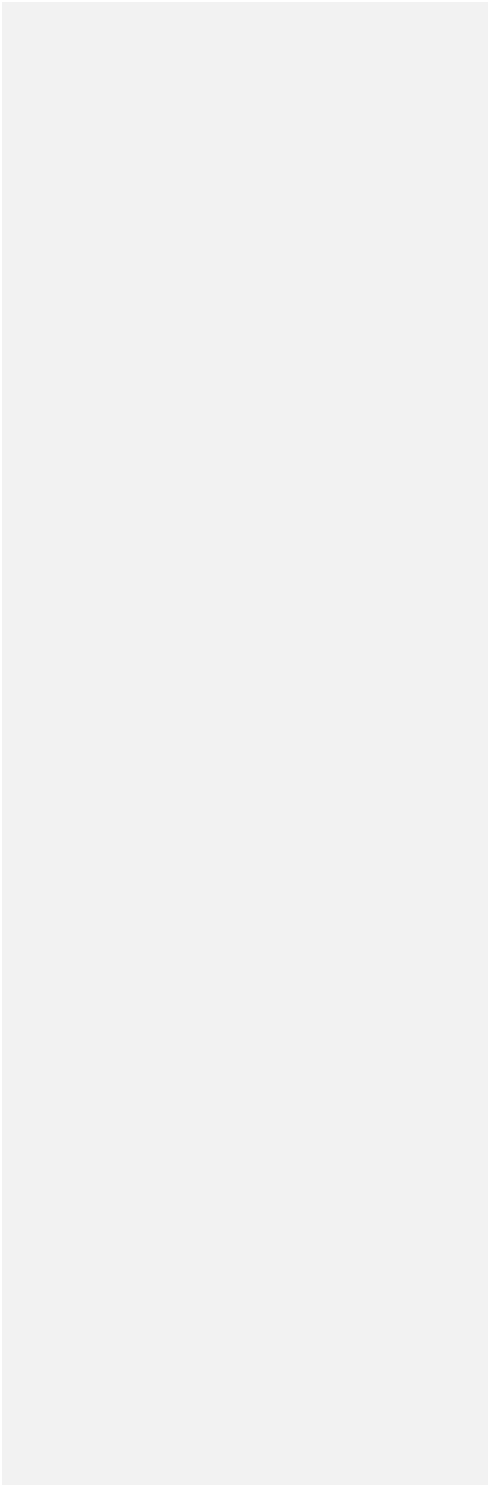


Answer Techniques: Problem Style Questions



An Informal Guide for Students

By Dr Andrew K Coleman



Answer Techniques: Problem Style Questions	1
An Informal Guide for Students.....	1
Preface	7
Introduction	8
This Guide is divided into the following parts:.....	8
Part 1: General Information	8
This part discusses the nature of legal problem style questions. Its objective is to provide a contextual understanding of the methodology and why the methodology is constructed in the manner it is.	8
Part 2: General Information	8
The second part explains how to use IRAC to tackle problem-based questions.....	8
• The components of IRAC’s answer methodology.	8
• Defines and explains each component.	8
• Different variations or “forms” or IRAC	8
• Criticism of IRAC.	8
• Do’s and Don’ts.....	8
Part 3: How to Use IRAC	8
Part 3 explains the methodology in detail.	8
• The components of IRAC’s answer methodology.	8
• A submitted tutorial question with feedback.....	8
Part 4: Using IRAC in Assignments	8
This Part will take the materials from Part 2 and apply them to a longer assessment task, essentially an assignment with a word limit of 2-3,000 words. It contains:	8
• A submitted assignment question with feedback	9
Part 5: Using IRAC in Assignments	9
This Part will take the materials from Part 2 and apply them to a longer assessment task, essentially an assignment with a word limit of 2-3,000 words. It contains:	9
Part 6: Using IRAC in Examinations	9
This Part will take the materials from Part 2 and apply them to a hypothetical examination question. It contains:.....	9
PART 1	10
General Information	10
In a nutshell:.....	11
PART 2	12
Copyright © Dr Andrew Coleman	2

What is IRAC?	12
Introduction	12
A legal methodology was formalised by US legal academics in the 1970's, and it is referred to as "IRAC", which is explained below. There is some controversy surrounding the use of IRAC but in my experience using IRAC, and observing or guiding students using IRAC, I have found that IRAC provides an extremely useful platform for: (a) planning answers; (b) a great foundation for legal "newbies"; and (3) a versatile building block when writing an answer. IRAC creates a logical formula or an "order" of the necessary components a legal problem style question requires.	12
I have been told by students who were veterinarians that IRAC was very similar to how they were trained to solve medical problems. In my opinion IRAC is a variation of the scientific method used in the "hard sciences", and thus is not unique. As such approaching a legal problem will also be guided by advice used in other disciplines.	12
What is "IRAC"?	12
There are many different variations of IRAC	14
Criticisms of IRAC	14
In a nutshell:	15
1. IRAC provides a useful foundation for both planning and writing an answer.	15
2. Issue spotting is crucial- and try to be as precise as you can when framing the issue.	15
3. The application stage is where you prove your substantive knowledge through an argument.	15
4. Cases matter in both the rule and applications stages.	15
5. The conclusion is simple- it answers the issue and thus closes the "circle" or "loop". IT is not a summary of your application!.....	15
6. IRAC does not have to be the "final" form for your answer- just ensure you have all necessary components.	15
Part 3	16
How to Use IRAC.....	16
Introduction	16
As mentioned IRAC provides a useful foundation for both planning and writing an answer. So, this Part will contain a sample plan, a sample answer and some "tips" on using IRAC. This information will then set the scene for a more detailed analysis of IRAC by deconstructing a past assignment question (T1 2026).	16
Enjoy!.....	16
Planning an Answer	16
Sample Question 1	16
Sample Answer Plan 1	17
Converting the Plan into an Answer: Sample Answer 1.	18
Copyright © Dr Andrew Coleman	3

Points to note or Do's and Don'ts.....	19
Sample Question, Answer and Feedback 2	20
In a nutshell:.....	23
1. After filling in all columns of your plan, it might be advantageous to pause and reflect for a moment.....	23
2. Don't use the word "issue", or "rule" etc. as a heading.	23
3. As you become more confident you can merge the rules and application.	23
4. Use an abbreviated form of IRAC if the answer to an issue is obvious.....	23
Part 4	24
Using IRAC in a Formal Longer Assessment Task.....	24
4.0 Introduction	24
4.1 Overall Structure (Multiple Issues)	24
4.2 Assignments, Memorandums of Advice, Letters to Clients.	25
4.3 General Tips.....	26
4.4 Specific Tips for Assignments	26
4.5 Using A.I.....	27
What can you offer an employer <i>without AI</i> ?	30
In a nutshell:.....	30
2. Don't use the word "issue", or "rule" etc. as a heading.	30
3. As you become more confident you can merge the rules and application.	30
4. Use an abbreviated form of IRAC if the answer to an issue is obvious.....	30
5. Remember different types of documents require different styles- ensure your answer matches the correct or appropriate style (assignment, memorandum of advice, letter to client).	30
Part 5	31
Samples and Examples	31
5.0 Introduction	31
5.1 Sample Question 3.....	31
Background	31
The File.....	32
Required	33
Overview of what was expected.	34
Common Comments & Feedback to Students.....	35
5.2 Sample Answer Plan 3	36

6.0 Sample Question Four.....	43
6.1 Sample Question 4:	43
6.2 Sample Answer 4:.....	44
6.3 Your comments, if any?	46
6.4 How (Did) Do We Arrive at Such an Answer?	46
Legal Principle/Rule [LP]: - Implied by the Courts for Business Efficacy.	48
Application: - A council or indeed any landlord would be expected to exercise a reasonable level of care in the maintenance of any lifts, or stairs, in a building owned by them. After all it is an important health and safety issue, but also can affect the business success and profits of the tenants. It is reasonable and equitable to both parties, since both benefit from compliance with the term, as if it is safe the Council may not be sued for negligence, but also will ensure tenants and it obviously does not impose any burden upon them other than financial and what a reasonable person would expect of any owner of a building. it is also necessary for the contract to work as if the tenants cannot get access to their offices or their clients cannot then it defeats the purpose of the whole tenancy agreement. Is it so obvious, maybe not as tenants often pay for expenses/outgoings such as electricity but maintenance of the actual building? It is capable of clear expression, and the contract is silent therefore no contradiction	
Legal Principle/Rule [LP]: - Implied by the Courts for Business Efficacy.	49
Both benefit from compliance with the term, as if it is safe the Council may not be sued for negligence,.	49
A reasonable person would expect a “Safe” user friendly building.	49
It is also necessary for tenants to gain access otherwise defeats the purpose of the agreement.....	49
Is it so obvious? Above point is....	49
It is capable of clear expression, see issue.....	49
The written contract is silent therefore no contradiction.	49
Legal Principle/Rule [LP]: - Implied by the Courts for Business Efficacy.	50
It is reasonable and equitable to both parties, since both benefit from compliance with the term, as if it is safe the Council may not be sued for negligence, but also will ensure tenants and it obviously does not impose any burden upon them other than financial and what a reasonable person would expect of any owner of a building. it is also necessary for the contract to work as if the tenants cannot get access to their offices or their clients cannot then it defeats the purpose of the whole tenancy agreement.....	
Is it so obvious, maybe not as tenants often pay for expenses/outgoings such as electricity but maintenance of the actual building?	50
It is capable of clear expression, and the contract is silent therefore no contradiction.....	50
Legal Principle/Rule: A condition is a term so important that a breach of it goes to the very heart of the contract: if not then a warranty.	50
Application: - Not clear that it is a condition or a warranty, since it can be breached in a variety of ways and in differing degrees of severity.	
	51

Legal Principle/Rule: An intermediate term is one where the court cannot determine whether a term is a condition or a warranty. The remedy depends on the type or severity of a breach; serious breach the remedy is as per a condition; termination and damages; a minor breach damages only like a breach of a warranty.	51
Application: - it is more likely to be a minor breach, but an interesting argument is that entry or access to the premises is important, e.g. what would happen in an emergency?? Therefore, there should be a right to termination, and also damages. And this is what your client wants to argue as it is not keen to pay the rent.	51
However, if the Courts were reluctant to imply such a term, since arguably occupation of the building can continue with a less than adequate lift, then it could be argued in the alternative that a council or indeed any landlord would be expected to exercise a reasonable level of care in the maintenance of any lifts, or stairs, in a building owned by them. After all it is an important health and safety issue, but also can affect the business success and profits of the tenants. Such terms have been implied into contracts of maintenance as held in <i>Helicopter Sales Pty Ltd v Rotor Work Pty Ltd</i> and <i>Costa Vraca Pty Ltd v Berrigan Weed & Pest Control Pty Ltd</i> . It is argued here that such a term would be reasonable for the tenants to again enjoy a reasonable level of “quiet possession.”	52
6.5 Any Thoughts?	53
6.6 Sample Question 5.....	55
[TOTAL 30 marks]	56
6.6.2 ANSWER:	56
Abstract/Synopsis	56
Conclusion	63
Aussie should pursue damages for the contract supplying meat, for the first shipment and the remaining shipments of the two year contract. Jack and Xiao should not pursue compensation for injuries of their child. [Paragraph summarising final advice on all issues answering (a) and (b).].....	63
Part 6	64
Using IRAC in Examinations.....	64
6.0 Introduction	64
6.1 More Specific Tips.....	64
6.2 More Specific Tips.....	65
Part 7:	68
Final Remarks.....	68
Part 8	69
References	69

Preface

'Give someone a fish and you feed them for a day; teach someone to fish and you feed them for a lifetime.'
(Maimonides)

Welcome.

No doubt many of you are experienced students, and I do not mean to insult your ability. However, for many others this will be your first experience with legal studies, and so I have decided to prepare this booklet to assist you. The material is either adapted or taken directly from previous work as listed in the References section, as well inherited from Unit Guides by several authors- many of them unknown from various units I have taught over the years. It has also been updated with new material from students' work in 2019. Thus, I do not claim authorship of much of the work contained herein. However, this work reflects a vast amount of experience and as such I believe and hope it helps you.

The text is NOT a comprehensive list of answers for tutorial/seminar questions. Instead, it is an instructional text. The methodology being taught here can be applied to most if not all law units. In essence this booklet aims to implement an old saying: 'Give someone a fish and you feed them for a day; teach someone to fish and you feed them for a lifetime.' (Maimonides)

The purpose behind you studying Law units is to gain knowledge (obviously), **but there is also the expectation** that you will *use that knowledge* in new or unexpected situations. Hence many questions in Law units are what are called "problem-style" questions.

I recommend that you arm yourself with the best opportunity to achieve your best through active practise using the methodology to write/prepare answers to the tutorial questions. This will help prepare you for the final examination.

I wish you well in your academic "travels".



Andrew Coleman
Sessional Lecturer
July 2026.

Introduction

This Guide is divided into the following parts:

Part 1: General Information

This part discusses the nature of legal problem style questions. Its objective is to provide a contextual understanding of the methodology and why the methodology is constructed in the manner it is.

Part 2: General Information

The second part explains how to use IRAC to tackle problem-based questions.

- The components of IRAC's answer methodology.
- Defines and explains each component.
- Different variations or "forms" of IRAC
- Criticism of IRAC.
- Do's and Don'ts

Part 3: How to Use IRAC

Part 3 explains the methodology in detail.

- The components of IRAC's answer methodology.
- Using IRAC as an answer plan.
- Using IRAC as an answer.
- Tips on using IRAC.
- A submitted tutorial question with feedback

Part 4: Using IRAC in Assignments

This Part will take the materials from Part 2 and apply them to a longer assessment task, essentially an assignment with a word limit of 2-3,000 words. It contains:

- General Tips regarding assignments.
- More specific tips and how they relate to IRAC.
- Using AI.
- Sample questions
- Sample plans.
- Sample Answers, including a deconstructed answer.

- A submitted assignment question with feedback

Part 5: Using IRAC in Assignments

This Part will take the materials from Part 2 and apply them to a longer assessment task, essentially an assignment with a word limit of 2-3,000 words. It contains:

- Sample questions
- Sample plans.
- Sample Answers, including a deconstructed answer.

Part 6: Using IRAC in Examinations

This Part will take the materials from Part 2 and apply them to a hypothetical examination question. It contains:

- General Tips regarding examinations.
- More specific tips and how they relate to IRAC
- Sample question.
- Sample plan.
- Sample Answer

Part 7: Final Remarks.

Last words of “wisdom” on the use of IRAC. The intention here is not just to remind you of the major points in the previous parts, but to ask you to think about how you will use IRAC after absorbing the material above.

Part 8: References

Self-explanatory!

PART 1

General Information

¹ Always remember that *essentially you are trying to solve a problem.*¹

In most questions in law examinations or tutorials, the questions will predominantly be in a problem format with a set of facts presented in an adversary form. You will be asked to “advise” a party about their legal rights and or obligations. The difference between a legal problem style question and a theory question is obviously the “problem”- the set of facts provided, and the answer being asked.

Why are legal questions presented in this manner? Because it mimics what happens in real life.

Fred buys a product that is not suitable. He believes that the reason it is not suitable is the manufacturer, or retailer’s “fault”. They, the retailer or manufacturer, do not share Fred’s opinion- they argue, refuse to return Fred’s purchase monies or be responsible for any personal injuries or damage to property. They believe they do not have to- Fred should have realised that the product was not suitable, or that Fred used it incorrectly, and so on. A plethora of reasons! They do not want to settle their differences; they want someone to prove they are “right”. They want a remedy. Each party rightly or wrongly believes they are “right,” have been treated so egregiously that they are entitled to go to court. Each party believes they will win. Parties are often wrong. Legal counsel can be wrong.

Each case you read is evidence of these points. *The parties are thus in a “dispute”.*

However, whilst disputes may be similar in nature- many people complain about unsuitable products- the facts are rarely, if ever, 100% similar. Disputes reflect the diversity of life and the complex society in which we live. Times change, technology improves, social values change- thus disputes evolve as well. Even the simplest of matters can hide “tricks” – factual nuances or slight variations of facts that make application of laws difficult or create doubt about the chances of success, about which party is “right”. So much so, that even judges disagree. Hence, a legal advisor can never be 100% certain that they will succeed, or at the very least *should not say* they are 100% certain.

Hubris is not pleasant, and not good for your business. So, you advise- you do not provide a definite answer.

Even judges disagree. Be cautious- advise.

Finally, problem style questions reflect two important characteristics of the Australian legal system: (1) it is “adversarial”; and (2) is a common law system. The first characteristic is important because it sets the tone of how you write. The role of the Court is to then “judge”, “adjudicate”, or determine”, which side “wins” by assessing both sides’ arguments (each of which is based on evidence that satisfies the relevant

¹ Author & Source unknown, *A Guide to Answering Legal Problems in Tutorial and Examinations*.

level of proof). Lawyers submit arguments- they “suggest” that their interpretation of the law and the facts are in essence superior to that of their opponents. The second is important because it indicates what should be included in your answer: legislation and cases. Cases, or precedent, are vital for a good answer in most legal problem style questions since they indicate how a court “reasons”, how they interpreted the same legal concept in the past, and when you cite a number of cases you indicate the conceptual pattern to trend to a likely interpretation in your current matter. A prediction of sorts. There are also what are called “soft law”, Regulatory Guides, which are guidelines prepared by a regulator such as ASIC. This “soft law” indicates what the regulator believes is the correct interpretation of the law, or at the very least (and more accurately) what activities they will not tolerate and prosecute (If they have the resources etc.). In other words, their “line in the sand”.

The role of the Court is to then “judge”, “adjudicate”, or determine”, which side “wins” by assessing both sides’ arguments.

So, draft your answer accordingly.

In a nutshell:

- 1. Be aware that the law is usually concerned with disputes.**
- 2. Disputes are often complex.**
- 3. The Australian legal system is a common law system.**
- 4. Cases are important (ratios first and foremost, but sometimes obiter dicta).**
- 5. The Australian legal system is essentially an “adversarial system”.**
- 6. The role of the Court is to “judge” which side “wins” by assessing both sides’ arguments, based on evidence that satisfies the relevant level of proof.**
- 7. Judges disagree!**
- 8. Lawyers give “advice” rather than provide an “answer”.**

PART 2

What is IRAC?

Introduction

In the previous section we mentioned all the aspects of a problem: (e.g. problems are complex, law is uncertain, don't be dogmatic, advise not answer, use all forms of relevant rules- statutes, precedent or judge-made law, and soft laws etc etc.). What possible answer methodology can do all of that?? How do you draft your answer "accordingly"? With all due respect, is not all the "helpful" advice above *contradictory* and thus problematic?

Yes, it is, but do not despair!

A legal methodology was formalised by US legal academics in the 1970's, and it is referred to as "IRAC",² which is explained below. There is some controversy surrounding the use of IRAC but in my experience using IRAC, and observing or guiding students using IRAC, I have found that IRAC provides an extremely useful platform for: (a) planning answers; (b) a great foundation for legal "newbies"; and (3) a versatile building block when writing an answer. IRAC creates a logical formula or an "order" of the necessary components a legal problem style question requires.

I have been told by students who were veterinarians that IRAC was very similar to how they were trained to solve medical problems. In my opinion IRAC is a variation of the scientific method used in the "hard sciences",³ and thus is not unique. As such approaching a legal problem will also be guided by advice used in other disciplines.

What is "IRAC"?

IRAC stands for the following components:

I= Issue

R=Rule (Authority)

A=Application

C= Conclusion

² I = issue, R = rule, A = application, C = conclusion. Regarding the origins of IRAC please refer to Kraal, D., & Coleman, A. (2019), 'Teaching Legal Studies in Business Degrees: A Review of a Method and its Practice', *Australian Journal of Teacher Education*, 44 (11) and the sources contained therein.

³ No surprise in view of its supposed origins: Ibid.

A simple variation is as follows:

P= PLAN

I= ISSUES

R= RULES

A= APPLICATION OF RULES

C= CONCLUSION



The “dreaded” IRAC methodology!

Issue:

What is a legal issue?

It is a question the Court asks itself to determine the ultimate legal liability of the respective parties: to determine who “wins”. Once you have identified the relevant issues, the next steps flow in a logical progression. So, if you identify the incorrect issue then you will then state and apply the incorrect rule, etc. And there will be more than one in each question. How precisely you identify the issue saves time, reduces the chance of citing unnecessary rules and “wandering” in your application.

Therefore, identifying the correct issue precisely is CRUCIAL.

Here are some hints to help you develop the skill of identifying or “spotting” issues:

1. Read the textbook/lecture notes.
2. Then read the question and ask:
 - a. Who are you advising?
 - b. What did they do?
 - c. What do they WANT to do?
3. Therefore identify the major topic.
4. Now go through the facts, AGAIN and look for any SPECIFIC FACT that relates to the above points.
5. Highlight the important ones think: how do they relate to the topic?
6. What does the question ask?

Rule:

Put simply the rule is *the relevant legal principle* that applies to resolve *the respective legal issue*. It does not have to be a direct quote. Markers often prefer you to paraphrase because it is one way they can measure your understanding of the rule.

DON'T FORGET TO TELL THE MARKER the source of this legal principle, in other words *what is the authority for this rule*. Normally it will be either a piece of legislation such as the **Wrongs Act 1958 (Vic) s. 48 (2)** or a case such as *Salomon v Salomon & Co Ltd* [1925] AC 22. A secondary source, like a textbook, often summarises a principle established by a case. This summary reflects the author's perception of the rule, not the rule itself. Their perception may be incorrect, or out of context, and thus misunderstood.

Some schools teach students to summarise the historical evolution of the rule, when answering longer problem style questions. That’s ok if you have “spare words” – so it depends on the word limit and the number of issues. Judges often use this method in their judgments- but they don’t have word limits, I think!

It is preferable to cite the original source as the authority for the rule.

Application:

This is where you earn your D’s and HD’s, displaying the depth of your knowledge and understanding of the rules with the objective of *persuading* the reader that your ideas are correct.

How do you apply? You are basically explaining why (or why not) the rule is satisfied- meets the relevant level of proof. Application involves constructing a logical well-reasoned argument. There are three elements in a good application (argument): logic, facts, and a case. Using a case in the application is an example of how the law has decided in similar fact situations- the closer the factual similarity the better. Adds “weight” to your argument.

The application is a persuasive argument.

Conclusion:

ANSWER THE QUESTION! In other words, answer the question raised by the issue, in a firm, decisive manner. If there doubts these should have been dealt with in your application. The conclusion is not the place to express “maybes”. The conclusion is often how you link one issue with another, how you link one paragraph to the next. In an assignment this is crucial so that the whole answer flows from start to finish. This is often what markers mean when they describe an assignment answer as “polished”.

There are many different variations of IRAC

Read the table below. As you can see each of the variations above use the same components listed above (issue, rule etc.) but use them in a different order, or may repeat a component.

Table 1. IRAC legal teaching method: alternative acronyms (selected)

Acronym	Meaning	Source
IRAC	issue, rules, application, conclusion	Brand and White (1976)
MIRAT	material facts, issues of law and policy, rules, arguments, tentative conclusion	Wade (1990)
RAFADC	rule, authority, facts, analogize, distinguish, conclude	Jacobson (1995)
IHAC	issue, hypothesis, application, conclusion	Sinclair (2003)
CRAC	conclusion, rule, application, rebuttal and conclusion	Lebovits (2010)
TREAT	thesis, rule, explanation, application, thesis	Murray & De Santis (2015)

* Taken from: Kraal, D., & Coleman, A. (2019), “Teaching Legal Studies in Business Degrees: A Review of a Method and its Practice”, *Australian Journal of Teacher Education*, 44 (11).

Criticisms of IRAC

Firstly, many academics dislike IRAC. I have found those that criticise IRAC have mostly fallen into one of two categories: (1) their original academic training was not in law, and (2) they use IRAC in their own way-

but they include the same components. And therein lies the answer: legal answers require certain components- at its very minimum a legal rule must be applied to resolve a legal dispute/specific question. IRAC provides a logical order for how these components are structured, and there is a false perception that the order is written in stone is what I believe drives the criticism of IRAC.

Secondly, you can adapt IRAC to suit your personal writing style- but be wary. Refer to the table above for inspiration and proof that variations are tolerable. Your own style may not be suitable, once again check first with your examiner/ Unit Convenor to see if they have any preferences.

However, that being said, it is very important for the preparation of the assignment that you check first with your examiner/ Unit Convenor to see if they have any preferences. Provided that you use the components in your answer then you will most likely satisfy the expectations of the marker.

In a nutshell:

- 1. IRAC provides a useful foundation for both planning and writing an answer.**
- 2. Issue spotting is crucial- and try to be as precise as you can when framing the issue.**
- 3. The application stage is where you prove your substantive knowledge through an argument.**
- 4. Cases matter in both the rule and applications stages.**
- 5. The conclusion is simple- it answers the issue and thus closes the “circle” or “loop”. IT is not a summary of your application!**
- 6. IRAC does not have to be the “final” form for your answer- just ensure you have all necessary components.**

Part 3

How to Use IRAC

Introduction

As mentioned IRAC provides a useful foundation for both planning and writing an answer. So, this Part will contain a sample plan, a sample answer and some “tips” on using IRAC. This information will then set the scene for a more detailed analysis of IRAC by deconstructing a past assignment question (T1 2026).

Enjoy!

Planning an Answer

As mentioned above even critics of IRAC acknowledge that IRAC is well suited to planning an answer, even when it is not “used” in the final formatted answer. The reason for this slight contradiction is that IRAC provides a convenient way of viewing the respective components of an answer, which is very useful not just in ensuring a thorough response for each issue, but also enables components or individual components to be shuffled around to present a neatly structured “flowing” answer. For example, you can “tell at a glance” what are the relevant rules and cases.

One important caveat: please remember this plan should not be the final form of your answer!!! It is a guide to assist you in the planning stages.

Sample Question 1⁴

Annie saw the following advertisement in a shop window:

“Today’s Special Offer- Michael Jackson CD’s - \$2.99 each.”

Annie went into the shop and said she would take 5. The shopkeeper said: ‘That’s \$64.95, thank you’. When Annie pointed out that the sign in the window said ‘\$2.99’ the shopkeeper said that his assistant must have made a mistake, the price was \$12.99 each.

Which of the following is most correct? Explain your answer.

- (a) Annie and the shopkeeper have a contract for the sale of the 5 CD’s at \$2.99 each.
- (b) Annie and the shopkeeper have a contract for the sale of the 5 CD’s at \$12.99 each.
- (c) There is no contract because no-one has made an offer.
- (d) There is no contract because no-one has accepted an offer.

⁴ This question first appeared in study materials prepared for Commercial Law at what is now, Caulfield Campus Monash University.

The correct answer is **D**. The display of goods in a shop is normally an invitation to treat rather than an offer (Although there are exceptions). When Annie requests to buy the CD for \$2.99 an offer has been made by her which can be accepted or rejected by the shopkeeper. No contract has been concluded between Annie and the shopkeeper as no offer has been accepted.

However, you need to “explain your answer”, in other words “why”. Explaining in full involves stating the relevant legal rules and cases: so how?

Sample Answer Plan 1⁵

Fact	Issue	Rule	Authority	Application	Conclusion
1. Annie sees ad. in shop window: Special MJ's CD's @\$2-99 each	Is this an offer?	Display in a window = an invitation to treat.	<i>Fisher v Bell*</i> <i>Carlill v Carbolic Smokeball Co</i> ; <i>Bryant v Fawdron</i>	The sign is an invitation to treat because there is no promissory intent in the language used.	No Offer
2. Annie says "I'll take 5 @\$2-99 = \$14-95.	Is this an offer?	An offer is promissory in nature and is usually made by the customer.	<i>Booth's Case</i>	Annie's language is clearly an offer because it is clear she wants to buy 5, but at the advertised price.	An offer has been made.
3. Shopkeeper replies: 'That's \$64-95.'	Is this acceptance?	Acceptance must not change the offer. Otherwise, it is a counteroffer which destroys the original offer.	<i>Hyde v Wrench</i>	This is changing the offer.	Counter-offer: 5 @ \$12-99.
4. Annie points to the sign.	Is this a mere request for information or an offer?	A mere request for information is not an offer: an offer must be promissory in nature.	<i>Harvey v Facey</i> ; <i>Carlill v Carbolic</i>	Clearly Annie is not promising anything, since her actions is really a reaction to the Shopkeeper's statement: she is seeking clarification.	No offer.

⁵ This answer plan has appeared in various previous iterations of similar guides used at Monash University, Swinburne University of Technology and Deakin University. See for example: Coleman, A. (2018). *Writing for Business Law: A guided approach to the application of IRAC for business law students* (Unpublished paper). Retrieved from https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3247360

5. Shopkeeper replies: "A mistake."	Is this an offer; an acceptance; or a mere reply?	A mere reply is not an offer: an offer is promissory in nature. Acceptance is also promissory in nature.	Harvey v Facey; Carlill v Carbolic	Again, this is merely a response, this time to Annie's question.	No acceptance. Final conclusion = No contract because no-one has accepted an offer (Counteroffer in 3 above). => D correct answer.
-------------------------------------	---	---	------------------------------------	--	--

See how clearly and easily you can identify the relevant components?

Please remember this plan should not be the final form of your answer!!! It is a guide to assist you in the planning stages. So do not submit it as your final answer to the assessment task!

How to convert this plan into an answer is suggested below.

Converting the Plan into an Answer: Sample Answer 1.

Each row is effectively one issue, or perhaps one part of a larger issue, (a sub-issue). Therefore, convert each row into one paragraph.

For example,

Fact	Issue	Rule	Authority	Application	Conclusion
1. Annie sees ad. in shop window: Special MJ's CD's @\$2.99 each	Is this an offer?	Display in a window = an invitation to treat.	Fisher v Bell* Carlill v Carbolic Smokeball Co; Bryant v Fawdron	The sign is an invitation to treat because there is no promissory intent in the language used.	No Offer

Becomes:

The advertisement in the window of MJ's CD's at \$2.99 each could be an offer, or an invitation to treat. Traditionally, a display of any sort is an invitation to treat. In Fisher v Bell a display of a flick knife in a window was held to be an invitation to treat and not an offer. Therefore, it is argued that the advertisement Annie saw is most likely an invitation to treat. There is one exception to the traditional rule, namely where the

specific display uses additional information (information other than the standard price and nature of the good) that would convince a reasonable person that the shopkeeper was intending to be bound by what was noted in the display. In the decision of Carlill v Carbolic Smokeball.... Therefore, the advertisement is an invitation to treat, rather than an offer.

Repeat the entire process below from start to finish for *each contentious and or substantive* issue. **Now repeat** for the 2nd -5th issue, each in their own paragraph. The next step is to link or organise the paragraphs by using headings.

And then move on to more contentious issues more deserving of your attention and word spending.

In many problem questions there will be more than one issue, especially in an assignment question. So how do you put all these issues together?

Points to note or Do's and Don'ts.

- Firstly, after planning your answer, and filling in all columns of your plan, it might be advantageous to pause and reflect for a moment before beginning the conversion of the information in the plan to its final format. What you need to reflect upon is this: What are the Chief Examiner's expectations? What does he/she want to be included? How do they want whatever "it" is to be included?
- Secondly, *don't use the word "issue", or "rule" etc. as a heading. Instead use a description that indicates/ describes what the issue and paragraph discuss. **So, do NOT do the following!!***

Issue: **The issue is whether an offer has been made....**

Rule: *A display of a flick knife in a window was held to be an invitation to treat and not an offer (Fisher v Bell; Carlill v Carbolic Smokeball)*

Application: *Because the sign is in a window, and there is no evidence of a promissory intention- the display is an invitation to treat.*

Conclusion: **It is an invitation to treat.**

- Thirdly, **this sample is just the first issue-** there are four more in the plan- so be careful you don't exceed your word limit. **You can avoid this by only discussing in full the most important or contentious issues, where the answer is uncertain, and where there will be much debate about what the facts "prove".**
- Fourthly, **as you become more confident you can merge the rules and application.**
- Fifthly, repeat the entire process below from start to finish for *each contentious and or substantive issue*.
- **Use an abbreviated form of IRAC if the answer to an issue is obvious.** I mean really obvious. For example, when proving whether consideration has been provided in a contract- if the facts state that \$5,000 was paid in cash to purchase the car- you don't need to go through the whole four steps of IRAC, but you merely state "from the facts consideration of \$5,000 has been provided..." in essence the conclusion.

Sample Question, Answer and Feedback 2⁶

The sample question below was a tutorial question regarding the definition of a “bank”. The answer was submitted by a student in Banking Law who asked for feedback on their use of IRAC. The answer was quite pleasing for a first attempt at a legal problem question by a non-law student. The tutor’s final comments were focused on reshaping their structure and use of IRAC.

How would you improve on the answer?

Question

Barry has a lease over Gatsby Island, an island abundant with wildlife off the South Australian coast. For many years he used it as a personal holiday resort but recently decided to open it up to tourism. As a gimmick, Barry decided to print “island currency”, known as “Gatsby-dollars” The currency is oval shaped, with Barry’s profile on one side and the denomination of the “Gatsby-dollar” imposed across the impression of a wallaby, on the other. The currency comes in one, two and ten “Gatsby-dollar” notes. Tourists who visit the island exchange their Australian currency for Barry’s currency and spend it on the island to buy souvenirs and snacks. Tourists often take the “Gatsby-dollars” home with them as souvenirs when they leave the island.

As part of the resort, Barry has opened a shop which operates as a currency exchange, where tourists can obtain “Gatsby-dollars” in exchange for their currency. As a further gimmick Barry has decided to call the shop “The Gatsby Island Bank”.

Has Barry committed any offences?

Student’s Answer

Issue:

Would the issue of currency, the transfer of money from a shop with the word ‘Bank’ in its business name and the exchange of currency as a payment system could be considered as similar practices to those carrying on the business of banking?

Rule:

As stated by statute law within the Reserve Banking Act 1959 (Cth), Under s.5(1) of the Banking Act, Banking business means:

- a) A business that consists of banking within the meaning of the paragraph s. 51 (xiii) of the Constitution; Or,
- b) A business that is carried on by the corporation to which paragraph 51 (xx) of the constitution applies and that consists, to any extent, of:
 - i) Both taking money on deposit (otherwise than as part-payment for identified goods or services) and making advances of money; or
 - ii) Other financial activities prescribed by the regulations for the purpose of this definition.

⁶ This question has been used in banking Law at Monash University, and Swinburne University of Technology.

Commented [AC1]: Well done! Just change the headings around- I’ll show you at the end.

- **s.7 of the Banking Act**: It is an offence for a person other than a body corporate to carry on any banking business in Australia unless there is an exemption in force
- **s.8 of the Banking Act**: It is also an offence for a body corporate other than a licensed banking institution to carry on the business of banking, unless there is an exemption in place.
- **s.9 of the Banking Act**: any corporation/body corporate which wishes to carry on the business of banking may apply to APRA for the authority to do so.
- **s.66 of the Banking Act** – states, the prohibition of using the word ‘bank’ in the name of the body corporate or in any other form. Further approval must be obtained from APRA.
- s.7 of the Payment Systems (Regulation) Act 1998 gives the RBA power to designate a payment system. And this is described as;
“a funds transfer system that facilitates the circulation of money, and includes any instruments and procedures that relate to the system.”

Then the functional, institutional and legal relations which were identified from cases help give meaning to the business of banking. In particular cases addressed by Lord Denning and Beetz J.

Analysis:

From s.66 of the Reserve Banking Act 1959 it would be illegal for Barry to open a shop using the word Bank in the shop name, such as “The Gatsby Island Bank.” They **would need permission from APRA. Then, Barry has a currency system in place** on the Island for promotion and shopping benefits. It would seem that this currency holding equivalent value to legal tender would form part of a payment system that encourages spending via an instrument that involves circulation of money, which would require such a system to be approved by the RBA, under s.7 of the Payment Systems (Regulation) Act 1998.

As suggested by case law, what could give meaning to ‘business of banking’:

- In the case of *Re Roe’s Legal Charge; Park Street Securities Ltd v Albert William Roe 1982*, **may an entity be a bank** even if banking business is a very small part of its overall business. Therefore, if Barry carries on other business besides those practices similar to banking or if the exchange of currency is only a subsidiary to his other business he shouldn’t be regarded as a bank. This was quoted in the case of *Bank of NSW v Commonwealth 1948*.
- Also, is a business considered a bank if it has no authority to operate as a bank given that it APRA does not view **the business as bank? That** under the Reserve Banking Act 1959 the business would be considered a bank for all purposes of banking practices and the case of *Dominions Trust Ltd v Kirkwood 1966*, where it failed to be recognised as a bank because a bank would require 1. Conduct current accounts 2. Pay cheques drawn on the banker 3. Collect cheques for the banker’s customer. The Gatsby Island Bank only exchange’s currency and does not collect deposits or hold accounts for the tourists.

On the other hand, there are cases which support the meaning of what it is to be carrying on the ‘the business of banking’. Which is supported by a legal relation, functional test and an institutional test.

In the case of *Foley v Hill 1848* it helps to determine whether a legal relationship existed similar to the function of banking practices. That it would be important to determine if a legal relationship existed between Barry and the tourists even if it were implied rather than expressed that would only allow the tourists to spend using Gatsby dollars. This would demonstrate similar practices to those in the business of banking. Whereby banks provide a service to exchange currency, by the means of a function that helps circulate money as legal tender. **It would seem fit on the island that Gatsby dollars would acquire the tourist something of value.**

Commented [AC2]: This point needs further clarification such as which case are you referring to ?

Commented [AC3]: Application

Commented [AC4]: Watch your grammar!

Commented [AC5]: Specify the section.

Commented [AC6]: Again watch your grammar-relationship or relations?

Commented [AC7]: Great analysis.

In the case of the functional test it was considered in the case of *Canadian Pioneer Management v Labour Relations Board 1980*, whether the entity using practices similar to banks represented the business of banking. Similar to "The Gatsby Island Bank" the exchange of currency is a function that banks perform.

Then, in the case of *United Dominions Trust Ltd v Kirkwood 1966* there is the institutional test, which is if an institution holds themselves out as a banker or having a reputation as a banker by the public and other institutions then the entity is seen as being a bank. It would seem in this case that the tourists taking home the Gatsby Dollars as souvenirs so don't view the shop as a bank.

However, given that Barry has used the word "bank" and performs a function part of to banking business then Australian Consumer Law could be that Barry's operation could be viewed as misrepresentation or misleading to the public.

Conclusion:

In my conclusion, I find Barry has committed some offences and they would be the breach of;

- s.66 of the Reserve Bank Act 1959,
- s.7 of the Payment System (Regulation) Act 1988
- s.18 of Australian Consumer Law Competition and Consumer Act 2010

However, in consideration of other laws, case determinations and tests applied to cases, more breaches could be identified, but without further information it remains inconclusive. As an example, as Lord Beetz has suggested, that when the institutional test were to apply can it be determined from the public's view whether "The Gatsby Island Bank" is seen as an actual bank. Just the same it would require Barry in my opinion to seek permission if he hasn't already done so from APRA, RBA and ASIC in regards to being a company that could apply for a banking license which contributes to the circulation of money via a financial instrument and banking practices.

Feedback: Tutor's Comments

1. Please refer to comments on the margin of the paper.
2. Please use headings-

e.g. Introduction (Here is where you put the "issues" as you raised.)

- a. Next for the various rules use a **DESCRIPTIVE** heading for each issue something like this -
 - **e.g. Is Barry Permitted to Use the Word "Bank"?**
 - **Has the Gatsby Island Bank engaged in "Banking Business"?**

3. Instead of writing the heading "Rules" - use the first Issue as the heading, then the second and so on. What you can then do is have one issue per paragraph- so in that paragraph you have issue, rule application and a mini conclusion. Then take each mini conclusion and put them together in the final conclusion.

I hope that makes sense?

Good luck.

Commented [AC8]: Good application. Would a reasonable person think in the same way?

Commented [AC9]: Again watch your expression.

Commented [AC10]: "has committed the following offences."
A a breach of ...
B a breach of ..etc

In a nutshell:

1. After filling in all columns of your plan, it might be advantageous to pause and reflect for a moment.
2. *Don't use the word "issue", or "rule" etc. as a heading.*
3. As you become more confident you can merge the rules and application.
4. *Use an abbreviated form of IRAC if the answer to an issue is obvious.*

Part 4

Using IRAC in a Formal Longer Assessment Task

4.0 Introduction

In Parts 4 and 5 we will examine how to use IRAC in a longer assessment task (e.g. 2,000 words or more). The difference between a legal problem style question and a theory question is obviously the “problem”- the set of facts provided, and the answer being asked. So, the first task after reading and understanding the question is to analyse the facts. The question provides you with the direction or perspective that you use when conducting this analysis.

4.1 Overall Structure (Multiple Issues)

Traditionally an essay, or a piece of writing, academic as well as most non-academic is comprised of three sections:

- Introduction
- Body
- Conclusion

In a legal problem style answer what each component contains is as follows:

INTRODUCTION is where you explain to THE READER what you are about to discuss. In a legal problem style answer this will be the legal issues. **DO NOT REPEAT THE FACTS IN THEIR ENTIRETY IN YOUR INTRODUCTION**. This merely wastes words and achieves nothing. Remember the marker is probably the person who wrote the question in the first place; and secondly, the marker may not be all that keen to read the facts 100 times. Think about it. The marker is probably keener to assess your ability to critically analyse the facts- and that means “issue spotting”. What issues are raised by the question? Is there a “key issue” on which the advice “turns” or depends? How will you approach this discussion- which issue will you discuss first? Do you have a “draft” hypothesis?

Provide a simple factual context for the marker/reader especially if you are drafting a memorandum of advice for a hypothetical partner in a law firm. So, what should you include?

- Who are the parties and who do we act for?
- A short two sentence description of the nature of the dispute.
- Issues (key issue).
- Approach.

BODY is where all the substantive material is in the IRAC format. It is the largest part of your answer. In a multi-issue question expect to have a series of mini conclusions reached, one for each issue discussed.

CONCLUSION is the final paragraph where you traditionally summarise the BODY. (DO NOT INTRODUCE ANY NEW MATERIAL in the conclusion.) In a problem style question summarising the BODY will entail tying together all the “mini conclusions” reached in the BODY. The purpose of the conclusion is to state the final answer; in essence the legal position of the party being advised or whatever specific task the question asks you to do.

4.2 Assignments, Memorandums of Advice, Letters to Clients.

As mentioned the traditional approach to a piece of writing, academic as well as most non-academic involves three sections as mentioned in 4.1. Often Unit Convenors ask you to complete a “Memorandum of Advice” rather than an “assignment”. They do so to mimic what happens in the profession. There are many different styles of formalities for memorandums, but formatting is not the only, nor is it the most important, difference.

4.2.1 Memorandums of Advice.

Please refer to the following points below:

- 1) **Partners are busy people.**
 - Brevity is important.
 - Whatever makes it easier for the busy partner to identify the respective parties and not get "lost" so to speak.
 - Clearly state who the firm is acting for
 - The parties.
 - The nature of the dispute.
 - Key dates.
 - The issues.
 - Your recommendation.
 - Assist the partner with some type of an executive summary.
- 2) Partners **will definitely know basic rules.**
 - E.g. they will know what an offer is, and the other elements for contract formation.
 - The partner's knowledge means that you need to focus on the elements in doubt, rather than work through what reads like a textbook.
 - What they need to know- is what elements are in doubt and why. So focus on the issues raised by the question.
- 3) Please keep your **language simple, but professional.**
- 4) There is little benefit gained using quotes to prove that your citation of the rule is accurate. Quotes are more useful in a theory paper- or a thesis of some sort.

4.2.2 Letters to Clients.

Put yourself into the shoes of the client. What do they need to know? They are probably under stress (regardless whether they initiated the action or not) for so many reasons: legal actions are not lightly undertaken; legal

costs are infamously high; worried about what they could “lose” if their legal action is unsuccessful; will they receive “bad news”; and so on.

All these factors affect the “tone” of your letter just as much as what you include in terms of substantive material. So, think about the following:

- Assess and consider the knowledge level of your client. Don’t assume they understand legal “jargon”.
- Be concise and clear when stating advice.
- Ensure it is pitched just “right” for a client to understand without being lost in legal “waffle.”
- The letter to the client should not be written in the academic style with footnotes and listing cases!!
- Explain relevant legal terms, case law, and legislation. A client as a layperson will not know their significance, especially precedent.
- Clients may become confused and most likely pester you with questions- so write carefully.

4.3 General Tips

All these tips will help the person who reads and marks your answer.

1. Read the question carefully.
2. Do not repeat the question (especially in the introduction- see examples below in Part 5).
3. Do not use superfluous introductions (e.g. explaining the sources of law in Australia, history of contract law, or common law etc)!
4. Make the examiner aware of the issues that you have recognised.
5. Make sure that your answer is sufficiently comprehensive and covers the issues in detail.
6. Think your arguments through to their conclusions before beginning your answer.
7. Use paragraphs to break the answer into more “digestible” parts.
8. Do not repeat yourself.
9. Use a logical structure in your answer.
10. Use correct legal expressions.
11. Watch out for “rabbit holes”!
12. Do not wander in your answer.
13. Keep your discussion of an argument or issue in one place.
14. Be precise, concise and accurate.

4.4 Specific Tips for Assignments

1. **Prepare an answer outline.** A draft of the issues and precedents will help you to map out the next step.
2. **Presentation is also important.** You should consider using headings for major paragraphs. Leave a line between paragraphs. Always leave wider than normal margins and spaces between paragraphs.
3. **Referencing- Use footnotes.** The so-called ‘Harvard Method’ of referencing is simply inappropriate for mentioning cases, legislation, and for problem style questions generally. Generally legal scholars

use the *Australian Guide to Legal Citation*, (most recent edition) prepared by the Melbourne University Law Review Association.

4. **Use Headings.** In bold and on a separate line. Please note that the headings for the introduction and conclusion are simple, e.g. "Conclusion". However, DO NOT use "Body" as the heading for what is the substantial part of the assignment. Instead use a DESCRIPTIVE heading for each issue. Further please do not use "Issue 1" as a heading, it looks and sounds childish. Certainly, do not use the heading "LEGAL RULE" or "APPLICATION". I have used such terms here only as a teaching tool, so that you can recognise the components of an answer. Final point, please use headings only where necessary: THEREFORE, use minimal headings.
5. **Length of the Question/Answer.** Do not worry about the length of the question in relation to the answer. There is no set length per question, and this is particularly true for the exam. Every semester students ask me: 'How long should my answer be; 2 pages, 4 pages...' and my response. It's like being asked: 'How long is a piece of string?' Use the marks allocated as a guide.
6. And lastly in the assignment ***you can annotate your footnotes*** with the facts of the case authority that you feel explain your point. BUT be careful if you overuse this annotation function then you'll be penalised- check with your Unit Convenor first!
7. **State the issue precisely.** Broadly stated issues invite you to recite too many irrelevant rules and guarantees irrelevant applications, waste time, and lead you to arrive at incorrect conclusions. Narrowing the issue down (e.g., "*Is the display on the counter an offer?*" instead of "*Has an offer been made?*") displays to the markers your ability to critically analyse the facts rather than take the dreaded "shotgun" approach where you just pray you will hit the "target" so to speak.

4.5 Using A.I.⁷

The power of AI is immense. At its most basic level AI can search a massive database and generate a summary, a "customised micro-database", based on a "prompt" with greater efficiency than any pre-AI search tool. However, AI's are no longer "just" highly efficient search tools. They can provide detailed solutions to questions- even problem-based questions. Currently, legal practices use AI tools in electronic discovery, legal data analytics, and document automation. AI is also used to review draft litigation documents such as writs, draft questions for examinations-in-chief, predict and prepare rebuttals, and assist counsel drafting their briefs.

So, should you incorporate AI in your studies?

A vexed question. Consider these points:

1. Is it permitted?
2. Believe it or not AI's make mistakes/errors.
3. The AI is only as good as the database entries- who made these entries?
4. Which AI has been chosen.
5. Develop the ability to critique all information provided by AI.
6. The quality of any work performed by GenAI is determined or "constrained" by the databases it uses.

⁷ Artificial Intelligence [Or GenAI.]

7. **USE AI TO “ENHANCE” YOUR LEARNING EXPERIENCE/JOURNEY, NOT TO REPLACE YOUR LEARNING JOURNEY.**
8. Believe it or not AI’s make mistakes/errors.

Is it permitted?

Some universities acknowledge the power of AI, and because they realise students will use AI regardless of whether it is banned or not. So, they permit the use (limited most probably) of AI in assessment tasks and even incorporate training on how to use AI. Other universities ban its use. There are methods (undisclosed here) that institutions can use to detect use of AI- so don’t try to use it if it is forbidden! And finally, universities are aware that firms will use legal specific AI software seek to incorporate some form of AI training in their curriculum. For example, in the words of Dean Andrew Perlman, students must be taught a ‘new form of issue spotting’.⁸

Given this current level of diversity of approaches, which is likely to change, it is best to check with your relevant institution and your Unit Convenor first before using AI.

Believe it or not AI’s make mistakes/errors.

Oh yes, they do. To quote a line from the film ‘Platoon’: “I sh-- thee not ...”

The first and perhaps best-known flaw is called “hallucinations”. Hallucinations are false data entries. AI’s success and accuracy is primarily based on the veracity and authenticity of the information originally inserted into the database. There are numerous case decisions where hallucinations have been used in the presentation of a legal argument in court. One of the first and most famous cases occurred in the US- *Mata v. Avianca, Inc.*, *Mata v. Avianca, Inc.*⁹ where attorneys relied exclusively on Chat GPT and did not check for hallucinations.

In Australia approximately 43 cases from May 2023 to June 2025 were caught using hallucinations.¹⁰ Here is a small sample: *Re Dayal* [2024] FedCFamC2F 1166; *Valu v Minister for Immigration and Multicultural Affairs (No 2)* [2025] FedCFamC2G 95; *Nash v Director of Public Prosecutions (WA)* [2023] WASCA 75; *Finch v Heat Group Pty Ltd* [2011] VSCA 100. The Australian decision of *Valu No 2* is a good example. The solicitor used ChatGPT primarily as a search tool, but after being impressed with the AI’s summarised response to his prompt, simply copied the response *verbatim* into his submission without checking. It contained numerous errors- including cases that simply *did not* exist. What is interesting and relevant here is the solicitor *knew* the risk they were taking by doing so, but due to time pressure, health and “personal problems” did so anyway.¹¹

⁸ Dean Andrew Perlman, Law Faculty, Suffolk University (US), as cited in Kimbrough (n 3) 35.

⁹ *Mata v. Avianca, Inc.*, 678 F. Supp. 3d 443, 458 (S.D.N.Y. 2023) *Mata v Avianca* (“Mata”)

¹⁰ See Damien Charlotin, ‘AI Hallucination’ (Web Page) <https://www.damiencharlotin.com/hallucinations/?q=&sort_by=-date&states=Australia&period_idx=0>

¹¹ *Valu v Minister for Immigration and Multicultural Affairs (No 2)*, (2025) FedCFamC2G 95.

I can almost hear your thoughts: “...were caught using hallucinations. So maybe I won’t be caught...” OR “I’ll check the materials presented by AI- it will just be a shortcut- after all the firm will probably expect me to use AI”.

In *Re Dayal* the consequences of using AI with numerous hallucinations cost the practitioner their right to practice.¹² In a series of cases a self-represented litigant so angered the court with their hallucination rich submissions that the Court stayed all their proceedings and considered orders against them for vexatious litigation.¹³

Why are courts concerned about the use of AI- when it has so many perceived advantages? Well, in addition to the obvious fact that it is hardly an exercise in “justice” if false cases were used to defeat a claimant, resulting in a payment of damages, or lose a custody fight etc, but Nielsen’s study of the use of AI found that decisions made by AI alone suggested “differential treatment” based on race, gender, amongst other variables, so much so that the author believed that use of AI alone will lead to decisions running contrary to: ‘...fundamental normative values, such as equality before the law.’¹⁴ A scary thought, but one echoed by the Judicial Commission of NSW.¹⁵

What if you check the material supplied by the AI?

Even the judge in *Mata v. Avianca* noted that there was nothing inherently “wrong” with using technology to assist lawyers preparing for their “case”, they just have to check it first for accuracy.¹⁶ To avoid a repetition of what occurred in *Mata v. Avianca* (what commentators call “automation bias”¹⁷) you must: ‘...check your sources, so not to rely on one source; check the facts, think, analyse.’¹⁷ Will you have time to check thoroughly? Maybe it is more efficient to not use AI and prepare the material without it.

How will check if the material is correct or not? I discussed this matter with students in one class, and one confidently delivered answer was: “Use another AI program”!! A ridiculous answer, with inherent, and dangerous logic.

Lastly, firms use AI because it completes these tasks quickly, and thus potentially with lesser costs. Lawyers are required by their code of conduct to keep cost to a minimum and to be efficient when delivering legal services. So, arguably they are required to use AI. As students you do not “operate” in the same manner. You are engaged in a learning experience, and that is an important difference. Your learning experiences should not be affected by the same imperatives as a practising lawyer. For example, most of you will have the luxury of time (part-time students less so) when compared to a practising solicitor. However, good and *responsible lawyers* will or should then mandate human intervention at some point to check or shape the AI’s response to suit their needs. If they don’t, then the firm could be sued in negligence, and individual solicitors could face

¹² Denham Sadler, ‘First Australian lawyer penalised for AI blunder’ *Information* (Web Page 4th Sep 2025)

<<https://ia.acs.org.au/article/2025/first-australian-lawyer-penalised-for-ai-blunder.html>>

¹³ *Luck v Principal Registrar and Chief Executive Office of the Federal Court of Australia* [2024] FCA 1256; *Luck v Secretary, Services Australia* [2025] FCA 68.; Legg (n38) 13.

¹⁴ Nielsen (n 1) 983-4.

¹⁵ Dr W Gravett, ‘The Dark Side of Artificial Intelligence: Challenges for the Legal System’, (Web Page) (1 Oct 2021) available

<https://www.judcom.nsw.gov.au/publications/benchbks/judicial_officers/dark_side_of_artificial_intelligence.html>

¹⁶ *Mata v. Avianca, Inc.*, 678 F. Supp. 3d 443, 458 (S.D.N.Y. 2023) See Kimbrough (n 3) 33-34 for a detailed discussion.

¹⁷ Hamilton College (USA) 198 College Hill Road, Clinton, NY 13323.

disciplinary action from the courts and or relevant professional bodies. How can you check or assess whether an AI is correct without knowledge and “expertise”?

To me the question is like: “How do you know the spellchecker is correct- if you never learned how to spell?”

The most important point about the use of AI is that if it replaces your learning experience entirely, then you have wasted time and money. What have you learned if you relied on AI? What skills: critical analysis, thinking on your feet, issue spotting, writing skills, have you developed? Put another way:

*What can you offer an employer **without AI**?*

In a nutshell:

1. **Filling in all columns of your plan, it might be advantageous to pause and reflect for a moment.**
2. ***Don't use the word “issue”, or “rule” etc. as a heading.***
3. **As you become more confident you can merge the rules and application.**
4. ***Use an abbreviated form of IRAC if the answer to an issue is obvious.***
5. ***Remember different types of documents require different styles- ensure your answer matches the correct or appropriate style (assignment, memorandum of advice, letter to client).***
1. ***The AI is only as good as the database entries- who made these entries?***
2. ***Develop the ability to critique all information provided by AI.***
3. ***Don't use one AI to check the accuracy of another.***
4. ***Use AI to enhance your learning experience/journey.***

Part 5

Samples and Examples

5.0 Introduction

Part 3 explained how to use IRAC, as a plan, and as an answer to a short tutorial question. Part 4 then provided tips and information about how to adapt IRAC to a longer problem based (e.g. an assignment question worth 2,000 words or more). This part applies the knowledge from Parts 1-4 to real questions. Answers are supplied including a “deconstructed answer” and a student submission. In addition, planning guides, Unit leader’s expectations, and marker’s feedback (comments) to all students, are also included.

The samples cover the following topics:

- Sample Question 3: Contract Law
- Sample Question 4: Business Law

5.1 Sample Question 3¹⁸

Background

Lilah Morgan sees great potential in your legal skills after your assistance with Gravediggers Vintage Store. She sends you an email asking you to look over a case file and prepare a memorandum for the current client, Mr Jones.

Hi...,

Mr Jackson Jones is a novice antique hunter. It is the events and purchases at a deceased estate in Mount Macedon that Mr Jones is enquiring about.

I want you to create a Memorandum of Advice for Mr Jones in respect of any contractual issues pertaining to him. As well, I would like you to draft a letter to Mr Jones (which I will amend and send) which includes a checklist of key information contained within the memo. I have attached a file with the pertinent information to this email.

I'll need this back to me via Turnitin on May 15th at 11:59pm at the latest!

Regards,

LM

¹⁸ The assessment and notes are from *Assessment Number 2, LAW2524 Fundamentals of Contract Law [Trimester 1:2026] RMIT University*.

The File

Your next step is to read the file, which lays out the following fact scenario:

Inspired by Antiques Roadshow and American Pickers, Mr Jones has been honing a collection of antiques. He goes to op-shops, antique stores, auctions, and occasionally deceased estates.

In January 2026, Mr Jones and his 25-year-old son, Patrick, go to an estate sale at Manor House in Mount Macedon, Victoria. Mr Tobias Thornhill, the owner of the house has recently passed away (at 104 years old) and had amassed a huge number of items. His children have opened the house to the public to try and sell as much as possible before selling the property itself.

The mansion is very large and there are big, photocopied signs dotted around the house: “East Wing sales see Jenny Thornhill. West Wing sales see Marcus Thornhill.” Mr Jones is looking for specific items at the sale and finds a few interesting pieces: an unsigned Dutch oil painting in a gilt frame and a strange looking lamp in the shape of a rabbit. The two pieces are at either end of the house. The rabbit in the west wing, the oil painting in the east wing.

Mr Jones takes the painting to Jenny Thornhill first. Ms Thornhill looks at the painting and says, “I have no idea what this one is worth, I’m happy to sell it to you, but I’d like my father’s art-dealer Francis Dushane to give a valuation”, Mr Jones replies, “I trust your judgement on this and am happy to pay whatever Mr Dushane deems appropriate”. Ms Thornhill says, “Great, I’ve got a photographic catalogue of the art so I’ll contact Francis next week. Because we need the house cleared, you’re welcome to take the picture home and I’ll be in touch”. Mr Jones provides ID and leaves

Mr Jones then retrieves the rabbit lamp and takes it to Marcus Thornhill. While they’re talking, Mr Thornhill notices Mr Jones’ son Patrick drinking an NRG BOOSTER drink. Mr Thornhill says, “Are you collecting the labels from these drinks? My grandson is and only needs one more to send off for the limited-edition skateboard.” Patrick informs Mr Thornhill he’s not collecting them as he doesn’t skate. Mr Thornhill says to Mr Jones, “To be honest there’s so much stuff in this house, I’d be happy to give you the lamp for the wrapper from the NRG BOOSTER drink, what do you think?” Mr Jones happily agrees, gives Mr Thornhill the drink with its label, and goes to leave with the lamp.

As Mr Jones gets to the doorway, he sees a vintage cigarette lighter made of porcelain, it’s in a box marked “miscellaneous \$50”. He walks back to Mr. Thornhill and says “\$50?”, Mr. Thornhill nods, says yes, and offers to wrap the item in tissue paper. Mr. Jones hands Mr. Thornhill a \$50 note. As he puts the wrapped lighter in

his reusable bag, Mr. Jones asks Mr. Thornhill, “the lighter works, yeah”, to which Mr. Thornhill says “Yes, my father smoked a pipe well into his 90s”.

In early February 2026, Mr. Jones receives a letter from Mr Thornhill. He’s been in touch with Francis Dushane and discovered the rabbit lamp is a rare prototype from Tiffany and Co., it’s worth a lot of money, and he wants it back. Mr. Thornhill claims that the exchange at the estate sale was not legally binding. There is no mention of the oil painting and Ms. Thornhill does not call about it, leaving Mr. Jones with the item in his house. To calm his nerves Mr. Jones tries to light a stick of incense with the porcelain lighter, but the lighter doesn’t work.

Required

Write a memo and draft a letter to Mr Jones. Address any contractual issues presented in the file.

Your memo must:

- Identify the key issues
- Articulate the relevant areas of law
- Apply the law to the issues and facts
- Incorporate a clear, logical, and actionable conclusion
- Be written in language appropriate for your audience (your letter is written to a non-lawyer), use key terminology consistently and appropriately, incorporate citations in AGLC4 format, including a complete reference list

To avoid any confusion:

- The problem you are asked to address is set out on just over one page. In practice, a matter of this kind would comprise at least one small folder of documents, and you would probably have a conference with your client. Thus, you may not have all the information you would like in this problem in order to advise your client fully. Please do not make up information. You may make assumptions, but if you think important information is missing, state precisely what that information is and ask that it be provided to you.
- The word limit is 1800 words, excluding references
- This task represents 30% of your overall grade

You must submit via Canvas/Turnitin prior to midnight on 15th May 2026 unless you have received an extension of time in writing.

Overview of what was expected.

There were a total of three items “purchased” by the client Mr Jones from this “estate sale” in the mansion:

- the oil painting in the east wing -see Jenny Thornhill;
- the rabbit in the west wing- see Marcus Thornhill;
- a vintage cigarette lighter made of porcelain- approached Marcus Thornhill.

Matter 1: an unsigned Dutch oil painting in a gilt frame

Question relates to Goods Act – students should outline, formation elements are there and Jones will need to pay a reasonable price for the painting. Section 14(1) only as 14(2) not applicable on the facts given Thornhill’s photographic catalogue of the art.

Goods Act 1958 (Vic), s14 Agreement to sell at valuation:

(1) Where there is an agreement to sell goods on the terms that the price is to be fixed by the valuation of a third party, and such third party cannot or does not make such valuation, the agreement is avoided:

Provided that if the goods or any part thereof have been delivered to and appropriated by the buyer he must pay a reasonable price therefor.

(2) Where such third party is prevented from making the valuation by the fault of the seller or buyer the party not in fault may maintain an action for damages against the party in fault.

Matter 2: a strange looking lamp in the shape of a rabbit

Question relates to consideration, specifically sufficient consideration. On the facts this is achieved. Students should discuss benefit/detriment and bargain requirement (*Currie v Misa*; *Australian Woolen Mills*; etc.). Facts are similar to *Chappell & Co Ltd v Nestle Co Ltd* [1960] AC 87. However, the focus should be on the *Australian Woolworths Ltd v Kelly* (1991) 22 NSWLR 189 and Kirby’s points. Higher grades should be given to more in-depth applications of Kirby’s analysis.

Kirby’s Points on Adequacy of Consideration

Justice Kirby articulated six fundamental reasons why the common law maintains that the “adequacy” or fairness of a bargain is left to the parties, rather than evaluated by the courts:

1. **Idiosyncratic Valuation:** Participants place varying values on bargains. Subjective elements like sentimental, ethical, or idiosyncratic values make it impossible for the law to place an objective price on a promise.

2. **Lack of Judicial Expertise:** Judges are trained in the law, not in economics or commerce. They lack the expertise to evaluate the myriad of economic factors involved in everyday business deals.
3. **Inconsistency:** If courts were to assess adequacy, different judges would inevitably reach different conclusions, making the law unpredictable and subjective.
4. **Legal Uncertainty:** Allowing courts to rewrite or void contracts based on inadequate consideration would introduce severe legal and commercial uncertainty into business transactions.
5. **Sanctity of Contract:** The principle of freedom of contract assumes that competent adults are the best judges of their own interests. Courts generally respect the bargains freely entered into by parties.
6. **Statutory Intervention:** Where fairness genuinely goes awry (such as cases of fraud, duress, or unconscionability), specialized statutory frameworks—rather than general contract law—are designed to provide relief.

Matter 3: a vintage cigarette lighter made of porcelain.

Students are not required to discuss representation vs terms (outside scope of this assignment) any discussion of this should be flagged as falling outside and fewer/no marks given. It doesn't make sense on the facts, but it may occur. Question is on whether past consideration is good consideration – it's not. *Roscorla v Thomas* (1842) 3 QB 234 is the case they should use and discuss the agreement had ended before the reference to the pipe was made. Further discussion can include that Mr Thornhill did not promise, but even if he had it would not be enforceable.

Common Comments & Feedback to Students

- *Contact law is different to Intro to Law because contract law is almost 90% case law- you need to mention cases, explain them, and apply them the facts.*
- *So, whilst your analysis and conclusions were adequate your statements of the law were not.*
- *Also you missed the key issue for the lighter- past consideration. It does not concern the topic of whether the statement is a term, because the statement was made after the contract had been formed. The issue required discussion of past consideration and the case of *Roscorla v Thomas*. Also needed to mention other cases such as *Chappell & Co Ltd v Nestle Co Ltd* and also Goods Act 1958 (vic) s 14.*
- *Sadly you made a mistake about the lighter. The facts provided to me are as follows:*
 - *'As he puts the wrapped lighter in his reusable bag, Mr Jones asks Mr Thornhill, "the lighter works, yeah", to which Mr Thornhill says "Yes, my father smoked a pipe well into his 90s".*
 - *So the statement was made after the contract had been formed- much like *Roscorla v Thomas*.*
- *Great analysis and use of cases in your application stage.*
- *Some minor "tweaks" required- such as better introduction and headings, and more detail regarding *Woolworths v Kelly*. Please refer to the comments for further details. Also please cite the specific sections of legislation, very important.*

- A solid effort- missed some crucial cases. For example, please revisit the decision of *George v Roach* in light of *Booker Industries Pty Ltd v Wilson Parking (Qld) Pty Ltd* (1982) 149 CLR 600. Please review the comments above and on the paper itself.
- When the facts in the question are very similar to specific cases (eg *Roscorla v Thomas*) then greater emphasis and comparisons needs to be made with such cases. Doing so would change the outcome of your advice, for example, regarding the lighter.
- Essentially your problem lies in how you identify the issue- it is far too broad and thus you cite unnecessary rules, but also you miss identifying the key issue and thus your application becomes irrelevant and often incorrect.
- When the facts in the question are very similar to specific cases (eg *Roscorla v Thomas* or *Chappell v Nestle*) then greater emphasis and comparisons needs to be made with such cases.
- You tend to be a little "wordy" - meaning use too many words when expressing an idea- so work on being more concise and clearer when stating advice to either the partner or the client.
- Since this issue is crucial- perhaps induce that in your paper- the earlier the better. You even use this issue as the starting point or the "perspective" for the entire discussion of the other formation elements.

5.2 Sample Answer Plan 3

5.2.1. Step One: Analyse the Facts

Inspired by Antiques Roadshow and American Pickers, Mr Jones has been honing a collection of antiques. He goes to op-shops, antique stores, auctions, and occasionally deceased estates.

In January 2026, Mr Jones and his 25-year-old son, Patrick, go to an estate sale at Manor House in Mount Macedon, Victoria. Mr Tobias Thornhill, the owner of the house has recently passed away (at 104 years old) and had amassed a huge number of items. His children have opened the house to the public to try and sell as much as possible before selling the property itself.

The mansion is very large and there are big, photocopied signs dotted around the house: "East Wing sales see Jenny Thornhill. West Wing sales see Marcus Thornhill." Mr Jones is looking for specific items at the sale and finds a few interesting pieces: an unsigned Dutch oil painting in a gilt frame and a strange looking lamp in the shape of a rabbit. The two pieces are at either end of the house. The rabbit in the west wing, the oil painting in the east wing.

Mr Jones takes the painting to Jenny Thornhill first. Ms Thornhill looks at the painting and says, "I have no idea what this one is worth, I'm happy to sell it to you, but I'd like my father's art-dealer Francis Dushane to give a valuation". Mr Jones replies, "I trust your judgement on this and am happy to pay whatever Mr Dushane deems appropriate". Ms Thornhill says, "Great, I've got a photographic catalogue of the art so I'll contact Francis next week. Because we need the house cleared, you're welcome to take the picture home and I'll be in touch". Mr Jones provides ID and leaves

Commented [KC11]: Our Client?

Commented [KC12]: Other party to agreements?

Commented [KC13]: Evidence of intention to be bound? Helpful when applying the objective test *Taylor v Johnson*.

Commented [KC14]: These items are the subject matters of the agreements and thus any potential disputes?

Commented [KC15]: "Fluff" or is location important? Proof of intention to be bound? Separate items, therefore separate contracts?

Commented [KC16]: Picked up the item and carried it to the other party- similar to the facts in *Pharmaceutical Society of Great Britain v Boots Cash Chemists v Boots*.

Commented [KC17]: Ahuh! The other party in relation to this specific item.

Commented [KC18]: Offer by JT? What is the significance of the valuation by FD- is he an independent third party?

Commented [KC19]: Acceptance by our client- but a condition attached? Pay what amount- is this a lack of certainty? Is the price essential?

Commented [KC20]: Or is this acceptance- again with a condition attached? What is the purpose/significance of this catalogue?

Commented [KC21]: Relevance?

Mr Jones then retrieves the rabbit lamp and takes it to Marcus Thornhill. While they're talking, Mr Thornhill notices Mr Jones' son Patrick drinking an NRG BOOSTER drink. Mr Thornhill says, "Are you collecting the labels from these drinks? My grandson is and only needs one more to send off for the limited-edition skateboard." Patrick informs Mr Thornhill he's not collecting them as he doesn't skate. Mr Thornhill says to Mr Jones, "To be honest there's so much stuff in this house, I'd be happy to give you the lamp for the wrapper from the NRG BOOSTER drink, what do you think?" Mr Jones happily agrees, gives Mr Thornhill the drink with its label, and goes to leave with the lamp.

As Mr Jones gets to the doorway, he sees a vintage cigarette lighter made of porcelain, it's in a box marked "miscellaneous \$50". He walks back to Mr Thornhill and says "\$50?", Mr Thornhill nods, says yes, and offers to wrap the item in tissue paper. Mr Jones hands Mr Thornhill a \$50 note. As he puts the wrapped lighter in his reusable bag, Mr Jones asks Mr Thornhill, "the lighter works, yeah", to which Mr Thornhill says "Yes, my father smoked a pipe well into his 90s".

In early February 2026, Mr Jones receives a letter from Mr Thornhill. He's been in touch with Francis Dushane and discovered the rabbit lamp is a rare prototype from Tiffany and Co., it's worth a lot of money, and he wants it back. Mr Thornhill claims that the exchange at the estate sale was not legally binding. There is no mention of the oil painting and Ms Thornhill does not call about it, leaving Mr Jones with the item in his house. To calm his nerves Mr Jones tries to light a stick of incense with the porcelain lighter, but the lighter doesn't work.

5.2.2 Step Two: Read the Question

You can reverse this step with Step One above- some commentators/educators may suggest doing so. However, I like to approach analysing the facts with an "empty mind" – because I have found this ensures I am thorough and don't skip over important facts and thus miss potential issues. My brain appears to analyse the facts "better" if I am ignorant of the question than if I am blinkered by the thought of what I think the question is asking me to do. So, I tend to read the question first, then read the instructions, which will then alter or remove certain potential issues, and then re-examine the fact, thus beginning the process of issue/rule clarification. In other words, starting "all-encompassing" and then "narrowing".

So, read the question and ask yourself:

- What does the writer/examiner "want"?
- Are there any mandatory instructions?
 - Formatting?
 - Type of document[s]
 - Theory versus practical.
 - Memo, letter of advice, or discussion paper.
 - Provide advice? Or suggestion for legal reform?
- Any directions?
 - i.e. limitations of topics.

Determines the style of document and the "tone" of the paper.

Commented [KC22]: Another item=> another contract with a new party.

Commented [KC23]: How important or what is the value of these labels? What is the significance? How does the label relate to which component of formation? Intention to be bound? OR consideration?

Commented [KC24]: Offer from T -> our client? Is the label being used as consideration here?

Commented [KC25]: Acceptance by our client = agreement formed. Wow, why is the label so important? No tangible material benefit. Also consideration is being paid to our client's son.

Commented [KC26]: Invitation to treat?

Commented [KC27]: Offer by our client to T.

Commented [KC28]: Acceptance? If yes => agreement formed now.

Commented [KC29]: "Offers" to put them in wrapping paper? Material in nature? Is this a counter offer? Or just a non-legal question that does not affect formation? A courtesy or party of the counter- offer?

Commented [KC30]: Payment of consideration or acceptance of the counter-offer (Wrapping included as the change to create the counter-offer?)

Commented [KC31]: Term of the contract? Timing important- similar to Roscorla v Thoms?

Commented [KC32]: A confirmation that the lighter works is a term of the contract? Or a post-contractual statement?

Commented [KC33]: Mistake as to nature of subject matter? Or bad luck simply a bad deal- the other party takes the loss on the chin?

Commented [KC34]: Oh dear, no valuation has been held! Contract price not determined- does this affect certainty of contract? What does this mean for our client- do they have to return the item? Can they keep it and push for a valuation? Or is up to the other party to chase?

Commented [KC35]: Can our client sue for breach of a term? ACL apply? Or has he no recourse due to a post-contractual statement?

- Audience?
 - Client?
 - Partner of law firm?
 - A “Judge”
- Who am I?
 - A clerk?
 - A solicitor?
 - A Barrister
 - Judge’s Associate
 - Judge or Tribunal Member
 - Student or Academic?

Sets the “tone” of the paper.

5.2.3 Step Three: Applying the above questions to the assessment task:

Consider/Ask	Instructions/Information Provided	Thoughts
What does the writer/examiner “want”?	Prepare two Documents: • a memorandum for the current client, Mr Jones; • a “draft” letter to the client. Memo must: • Identify the key issues • Articulate the relevant areas of law • Apply the law to the issues and facts • Incorporate a clear, logical, and actionable conclusion	• Make sure you submit BOTH!! • One document or two? • Format of the letter? Use IRAC • “Actionable”? – Practical suggestions such as: “settle”; do nothing; do something; litigate?
Are there any mandatory instructions?	• Be written in language appropriate for your audience (your letter is written to a non-lawyer. • Use key terminology consistently and appropriately; • Incorporate citations in AGLC4 format, including a complete reference list • Word limit is 1800 words, excluding references	• So, do I use footnotes? • What would a client know? • Would they be confused with legal jargon? • Do I use “we” or “I”, “the Firm” in the letter? • Ok referencing and headings according to AGLC4. • Remember to include a bibliography as per AGLC4! • How long should the letter be?
Any directions?	• In the assessment brief: • Only consider weeks 2-6 in your answers.	• How does this limit affect my issues? • Be careful with legal matter 2- do not discuss mistake.

		• Be careful with legal matter three- don't discuss misrep or terms or the ACL.
Audience?	• Memo: Lilah Morgan, a solicitor/partner in the law firm of Messrs Wolfram & Hart • Letter: to the client Mr. Jones.	• Will understand basic components of contract formation- focus on the contentious matters. • Will not understand legal "jargon". • Explain concepts simply, also provide advice that is practical. • They will want to know what to do with each item- keep it, sell it, or litigate.
Who am I?	• A legal clerk	• Very junior -low on the totem pole- so be respectful, and professional.

5.2.4 Step Four: Planning an Answer

Remember there are three matters.

- (a) *The Painting*
- (b) *The Rabbit Lamp*
- (c) *The Lighter*

The Painting

Facts	Thoughts	Potential Issues
Mr Jones takes the painting to Jenny Thornhill first. Ms Thornhill looks at the painting and says, "I have no idea what this one is worth. I'm happy to sell it to you, but I'd like my father's art-dealer Francis Dushane to give a valuation"	• Offer by JT? • What is the significance of the valuation by FD- is he an independent third party?	• A conditional offer?
Mr Jones replies, "I trust your judgement on this and am happy to pay whatever Mr Dushane deems appropriate"	• Acceptance of Offer? • Pay whatever amount? • What is the consideration?	• Is a contract formed here through MR J's acceptance. • Essential element of consideration has not been satisfied. • Agreement is not "sufficiently certain"?
Ms Thornhill says, "Great, I've got a photographic catalogue of the art so I'll contact Francis next week. Because we need the house cleared, you're welcome to take the picture home and I'll be in touch".	• Francis next week- Time frame established. • Mr J has possession- how does this affect the Validation process?	• Does this clearly stated and agreed process "cure" the lack of certainty? • Does Mr J's possession add weight to the art there is certainty?

Mr Jones provides ID and leaves	• Not sure- proof of identity? • Complying with general conditions of sales??	• Not really contentious- supportive of certainty argument above. • Confirmation of possession.
In early February 2026, Mr Jones receives a letter from Mr Thornhill. He's been in touch with Francis Dushane and There is no mention of the oil painting and Ms Thornhill does not call about it, leaving Mr Jones with the item in his house	• Condition has not been satisfied? • Wait the consideration is still uncertain=> lacks certainty? • Why wasn't it held- within a week? • Does that mean it won't happen? • Is this an expiry of a reasonable period of time? • REturn the painting or keep it?	• Is this an expiry of a reasonable period of time? • If so then is the contract "valid"? • Who is in breach? • If retained then what are Mr j's rights?

The Rabbit Lamp

Facts	Thoughts	Potential Issues
Mr Jones then retrieves the rabbit lamp and takes it to Marcus Thornhill.	• Offer by Mr J?	• Offer?
While they're talking, Mr Thornhill notices Mr Jones' son Patrick drinking an NRG BOOSTER drink. Mr Thornhill says, "Are you collecting the labels from these drinks? My grandson is and only needs one more to send off for the limited-edition skateboard."	• Mere enquiry? • Offer? • Consideration? • Third party?	• Mere enquiry.
Patrick informs Mr Thornhill he's not collecting them as he doesn't skate. Mr Thornhill says to Mr Jones, "To be honest there's so much stuff in this house, I'd be happy to give you the lamp for the wrapper from the NRG BOOSTER drink, what do you think?"	• Is a contract formed here through MR T's acceptance. • Wait is this an offer.? • The label is the consideration? • It has no tangible value? ?	• Not acceptance but an offer • Is consideration valid? • "Adequacy versus sufficiency"? • Consideration moves from the promisee?
Mr Jones happily agrees, gives Mr Thornhill the drink with its label, and goes to leave with the lamp	• Acceptance. • Contract formed. •	• "Adequacy versus sufficiency"? • Are all the other elements of formation satisfied? • i.e. Intention to be bound?
In early February 2026, Mr Jones receives a letter from Mr Thornhill. He's been in touch with Francis Dushane and discovered the rabbit lamp is a rare prototype from Tiffany and Co., it's worth a lot of money, and he wants it back. Mr Thornhill claims that the exchange at the estate sale was not legally binding	• Mistaken value= no consensus ad idem? • Why not?	• Bad bargain or, is an essential component missing?

The Lighter

Facts	Thoughts	Potential Issues
As Mr Jones gets to the doorway, he sees a vintage cigarette lighter made of porcelain, it's in a box marked "miscellaneous \$50".	• Offer by J? • Invitation to treat? • What is the significance of the valuation by FD- is he an independent third party?	• Nothing contentious.
He walks back to Mr Thornhill and says "50?". Mr Thornhill nods, says yes, and offers to wrap the item in tissue paper. Mr Jones hands Mr Thornhill a \$50 note.	• Mere enquiry? • Offer? • Acceptance? • One act of consideration is executed. • Facts very similar to <i>Roscorla v Thomas</i> • All elements present?	• Timing of acceptance is crucial.
As he puts the wrapped lighter in his reusable bag, Mr Jones asks Mr Thornhill, "the lighter works, yeah", to which Mr Thornhill says "Yes, my father smoked a pipe well into his 90s".	• Statement made before or after contract formed?	• Is the statement part of the contract? • Past consideration?
To calm his nerves Mr Jones tries to light a stick of incense with the porcelain lighter, but the lighter doesn't work.	• Breach of a term? • ACL? • Wait are those topics examinable?	• If above issue resolved as past consideration- no action. • If timing is pre-formation=> breach.

5.2.5 Step Five Now convert the above analysis into the IRAC format.

The Painting

Facts	Potential Issues	Rules	Application	Conclusion
Mr Jones takes the painting to Jenny Thornhill first. Ms Thornhill looks at the painting and says, "I have no idea what this one is worth, I'm happy to sell it to you, but I'd like my father's art-dealer Francis Dushane to give a valuation".	• A conditional offer?	• Defn of an offer ◦ <i>Carlill v Carbolic Smokeball</i> • Objective test ◦ <i>Taylor v Johnson</i>	• Evidence of promissory intent. • Potential precondition of the valuation? • No not a conditional offer, but a mechanism of sorts.	• Offer made
Mr Jones replies, "I trust your judgement on this and am happy to pay	• Is a contract formed here through MR J's acceptance.	• Defn of acceptance. ◦ <i>Carlill v Carbolic Smokeball</i> • Communication of acceptance.	•	• Acceptance.

whatever Mr Dushane deems appropriate"	- Essential element of consideration has not been satisfied. - Agreement is not "sufficiently certain"?	- Certain and unequivocal? - Lack of certainty of the painting= uncertainty of price => not satisfy requirements for the sale of goods and contract formation? <i>Hall v Busst</i> (1960) 104 CLR 206.		
Ms Thornhill says, " Great, I've got a photographic catalogue of the art so I'll contact Francis next week. Because we need the house cleared, you're welcome to take the picture home and I'll be in touch".	- Does this clearly stated and agreed process "cure" the lack of certainty? - Does Mr J's possession add weight to the art there is certainty?	<i>Thomas v Thomas</i> (1842) 2 QB 851; <i>George v Roach</i> (1942) 67 CLR 253 <i>Woolworths Ltd v Kelly</i> (1991) 22 NSWLR 189. <i>Upper Hunter Country District Council v Australian Chilling & Freezing Co Ltd</i> (1968) 118 CLR 429 - ss 13-14 <i>Goods Act 1958</i> (Vic) apply?	- There is a pattern of precedent arguing uncertainty- and more recent cases re there is certainty? Contrast <i>Hall v Busset</i> with <i>Woolworths v Kelly</i>, in particular Kirby J's decision. - Can we use Justice Kirby articulated six fundamental reasons why the common law maintains that the "adequacy" or fairness of a bargain is left to the parties, rather than evaluated by the courts: - Courts will uphold the contract if possible- strong enough evidence to support this approach ?	<i>Prima facie- no consideration, but after applying Kirby J from Woolworths v Kelly , Hall v Busst distinguished.</i> <i>Uphold the contract.</i>
Mr Jones provides ID and leaves	- Not really contentious- supportive of certainty argument above. - Confirmation of possession.	<i>Thomas v Thomas</i> (1842) 2 QB 851; <i>Woolworths Ltd v Kelly</i> (1991) 22 NSWLR 189. - ss 13-14 <i>Goods Act 1958</i> (Vic) apply?	- Contrast <i>Hall v Busset</i> with <i>Woolworths v Kelly</i>, in particular Kirby J's decision. - Courts will uphold the	<i>Contract valid or alternatively not invalid.</i>

			contract if possible- this evidence suggests parties' intentions are to form a contract? Strong enough evidence to support this approach	
In early February 2026, Mr Jones receives a letter from Mr Thornhill. He's been in touch with Francis Dushane and There is no mention of the oil painting and Ms Thornhill does not call about it, leaving Mr Jones with the item in his house	- Is this an expiry of a reasonable period of time? - If so then is the contract "valid"? - Who is in breach? - If retained then what are Mr J's rights?	ss 13-14 <i>Goods Act 1958</i> (Vic) apply?	- Will a court apply or imply a reasonable price in the absence of this expert's valuation? - Who is responsible for the delay? - s 14(2) <i>Goods Act</i>.	- Not enough evidence to refute parties' intentions. Possession remains with purchaser. - Contact the expert or parties negotiate .

6.0 Sample Question Four.

In this next component I take an inverse approach. I will present a question and answer, provide you with the opportunity to comment and then deconstruct the answer.

6.1 Sample Question 4:¹⁹

The following question and answer was a 3,000-word assignment question used in Business Law.

Xeno Pty Ltd applied for and was accepted as tenant of an office block on the 5th floor of a building owned by the Municipal Council. Xeno signed a document called "Conditions of Tenancy" which listed all the obligations owed by Xeno to the Council, but was silent as to the Council's obligations. The lift in the building was old and regularly broke down. Repairs often took more than a week to effect. The stairs were a

¹⁹ The question was used in Business Law at Monash University, Faculty of Business and Economics in the unit BTX9020 Business Law in approx. 2007.

Hitchcockian delight of creaks, moans, black holes and rusty, broken railings. When Xeno refused to pay the rent the Council evicted it and sued for the rent. Xeno wishes to claim damages for the poor state of repairs.

Advise Xeno whether it has any action based on contract law.

6.2 Sample Answer 4:

Xeno Pty Ltd.

Introduction

In order for Xeno Pty Ltd [“Xeno”] to legitimately refuse to pay its rent, which is one of its undeniable obligations with its lease arrangement with Municipal Council, Xeno needs to prove that the failure of the Council to maintain the lift and the stairs in a reasonable manner has breached a term of their agreement. Such a term would have to be implied by the Court either as one necessary for business efficacy, or alternatively because it is a term of reasonable level or quality of service. After all, access to their room or office by using the lifts or stairs could be seen as part of the tenant’s rights (and therefore the landlord’s obligations) to “quiet possession”.

Is it a Term of the Contract?

Firstly, could such a term, namely: ‘That the council will maintain the premises and ensure the lift and stairs are in safe good working order...’ be implied on the grounds of business efficacy? The Privy Council stated in *BP Refinery (Westernport) Pty Ltd v The Shire of Hastings*²⁰ that the following factors must be satisfied before a term can be implied for business efficacy:

- Must be reasonable and equitable.
- Necessary to give ‘business efficacy’
- Be “so” obvious it “goes without saying”.
- Be capable of clear expression.
- And must not contradict an express term.²¹

It is reasonable and equitable to both parties, since both will benefit from compliance with the term. If the building is safe, the Council may not be sued for negligence, but also will ensure the building is attractive to prospective tenants and secondly, it is beneficial to tenants since they occupy and use the building. Maintenance of the lifts and stairs will obviously impose a financial burden on the Council, but this is an expense any reasonable person would expect of any owner of a building. Such a term is also necessary for the

²⁰ (1977) 180 CLR 266. The Privy Council’s decision was later approved by the Australian High Court in *Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337.

²¹ (1977) 180 CLR 266.

contract to work as if the tenants cannot get access to their offices or their clients cannot then it defeats the purpose of the whole tenancy agreement. In fact such a term is so obvious, that it “goes without saying”. Also from the facts it does not appear to contradict a written term of the lease. It is assumed that such a term can be capable of clear expression.

However, if the Courts were reluctant to imply such a term, since arguably occupation of the building can continue with a less than adequate lift, then it could be argued in the alternative that a council or indeed any landlord would be expected to exercise a reasonable level of care in the maintenance of any lifts, or stairs, in a building owned by them. After all it is an important health and safety issue, but also can affect the business success and profits of the tenants. Such terms have been implied into contracts of maintenance in *Helicopter Sales Pty Ltd v Rotor Work Pty Ltd* or even *Costa Vraca Pty Ltd v Berrigan Weed & Pest Control Pty Ltd*.²² It is argued here that such a term would be reasonable for the tenants to again enjoy a reasonable level of “quiet possession.” Thus, it is submitted such a term would be implied by the Courts on the grounds of business efficacy.

What Type of Term would it be?

Regardless of the means by which the Court implies the term suggested above into the contract the next issue is whether the Council’s breach is sufficient to justify Xeno to terminate the contract. This is necessary if Xeno is to be spared an action brought by the Council to recover unpaid rent. In a number of cases the Court has stated that only a condition entitles an aggrieved party to terminate the contract for breach and also to claim damages.²³ The Court has described a breach of a condition as one going to the very heart of the contract. Identifying a condition has been through application of what is described as the test of essentiality.²⁴ If a term is not defined as a condition, then it will be considered a warranty. In situations of doubt the Court may identify the term as belonging to the category of intermediate terms, as held in *Hong Kong Fir Shipping Co v Kawasaki Kisen Kaisha Ltd*,²⁵ where the Court stated that the remedy depended on the extent of damage or loss caused by the breach, with a “major” breach resulting in a right to terminate and damages.²⁶

[And so on to include other issues such as damages etc.,]

Conclusion

It has been argued here that a term would be implied in the contract that basically would impose on the Council an obligation that it maintains the lifts and stairs in reasonable and safe working order. Such a term could be

²² *Helicopter Sales Pty Ltd v Rotor Work Pty Ltd* (1974) 132 CLR 1; *Costa Vraca Pty Ltd v Berrigan Weed & Pest Control Pty Ltd* [1998] 693 FCA.

²³ See the following cases *Bettini v Gye* [1874] All ER 242; *Associated Newspapers Ltd v Bancks* (1951) 83 CLR 322; *Oscar Chess Ltd v William* [1957] 1 All ER 325.

²⁴ *Ibid*, at. 209 see the authors’ discussion of *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632.

²⁵ *Hong Kong Fir Shipping Co v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26.

²⁶ A “minor” breach only entitles the victim to damages.

²⁶ *Hong Kong Fir Shipping Co*, (above n 7).

argued to be a condition, but is more likely to be an intermediate term. Whether a breach by the Council would constitute a major breach is based upon just how badly the lifts currently operate, on the safety level of the stairs and the time taken to repair both. This information is unclear but it is assumed here that the extent of repairs required would be so vast as to deprive Xeno from enjoying the full benefit of occupation, the very essence of their contract or lease and as such entitle them to terminate the contract and claim damages for the loss of profits that ordinarily arose from the delay caused by said repairs. Thus Xeno would not have to make any further payments of rent after the date of termination.

6.3 Your comments, if any?

6.4 How (Did) Do We Arrive at Such an Answer?

6.4.1 Step One: - Identify the Topic => Implied Terms

Look at the facts and the question:

Facts	Question	Thoughts/Logic.
Xeno Pty Ltd applied for and was accepted as tenant of an office block on the 5th floor of a building owned by the Municipal Council. Xeno signed a document called "Conditions of Tenancy" which listed all the obligations owed by Xeno to the Council, but was silent as to the Council's obligations. The lift in the building was old and regularly broke down. Repairs often took more than a week to effect. The stairs were a Hitchcockian delight of creaks, moans, black holes and rusty, broken railings. When Xeno refused to pay the rent the Council evicted it and sued for the rent. Xeno wishes to claim damages for the poor state of repairs.	Advise Xeno whether it has any action based on contract law. 1. Read the textbook/lecture notes. 2. Then read the question and ask: a. Who are you advising? b. What did they do? c. What do they WANT to do? 3. Therefore identify the major topic.	No facts concern an advertisement or a series of negotiations,. No information about prices, or consideration or intention. - i.e. therefore not concerned with formation. I'm advising Xeno – - failed to pay rental payment. - they want damages. - What rules provide damages as a remedy? No evidence of misinformation or unconscionable conduct...so Terms?

		BUT! No evidence of express statements regarding Xeno's rights or the landlord's obligations. ⇒ Implied terms?
--	--	--

6.4.2 Step Two: Issue Spotting

The Topic is Implied terms- so think of the different ways in which terms can be implied into contracts. Think about which of these methods below relate to the facts.

- By Trade Custom/Usage
- By Statute.
- By the Courts for Work and Materials.
- By the Courts for Business Efficacy.

Facts	Thoughts/Logic.	Issue
Xeno Pty Ltd applied for and was accepted as tenant of an office block on the 5th floor of a building owned by the Municipal Council. Xeno signed a document called "Conditions of Tenancy" which listed all the obligations owed by Xeno to the Council, but was silent as to the Council's obligations. The lift in the building was old and regularly broke down. Repairs often took more than a week to effect. The stairs were a Hitchcockian delight of creaks, moans, black holes and rusty, broken railings. When Xeno refused to pay the rent the Council evicted it and sued for the rent. Xeno wishes to claim damages for the poor state of repairs.	Advise Xeno whether it has any action based on contract law. <i>Safety risk?</i> <i>Approach "safety" from the perspective of either trade custom or business efficacy?</i> <i>By Statute: probably something like the Residential Tenancies Act- but question tells us to use contract law...</i> <i>Put another way: 'Is there a right to "quiet possession"....?'</i> <i>Could that right be implied into a landlord/tenant agreement as the right of the tenant to Not perfect, but not ok to begin with?</i> <i>No evidence of trade custom, and no contract of service between landlord and Xeno.</i>	<i>Would the Court imply a term on the grounds of business efficacy into the contract, namely 'That the council will maintain the premises and ensure the lift and stairs are in safe good working order...'</i> <i>Not perfect but good enough to start...</i>

Issue [1]:- 'Would the Court imply a term on the grounds of business efficacy into the contract, namely 'That the council will maintain the premises and ensure the lift and stairs are in safe good working order...'

6.4.3 Step 3: Rules and Application

After identifying the issues it is a relatively easier task to identify the relevant rules. The much more difficult task is applying the rules to the facts and concluding what the outcome would be. A point to remember: the application is where you are effectively presenting an argument, a PERSUASIVE argument. That means you are trying to convince (persuade) the reader to accept your analysis. A good application will also result in a grade higher than a pass.

Legal Principle/Rule [LP]: - Implied by the Courts for Business Efficacy.

- **Must be reasonable and equitable.**
- **Be necessary to give ‘business efficacy’.**
- **Be so obvious it “goes without saying”.**
- **Be capable of clear expression.**
- **Must not contradict an express term.**

Authority: - *BP Refinery (Westernport) Pty Ltd v The Shire of Hastings* (1977) 180 CLR 266.

Application: - A council or indeed any landlord would be expected to exercise a reasonable level of care in the maintenance of any lifts, or stairs, in a building owned by them. After all it is an important health and safety issue, but also can affect the business success and profits of the tenants. It is reasonable and equitable to both parties, since both benefit from compliance with the term, as if it is safe the Council may not be sued for negligence, but also will ensure tenants and it obviously does not impose any burden upon them other than financial and what a reasonable person would expect of any owner of a building. It is also necessary for the contract to work as if the tenants cannot get access to their offices or their clients cannot then it defeats the purpose of the whole tenancy agreement. Is it so obvious, maybe not as tenants often pay for expenses/outgoings such as electricity but maintenance of the actual building? It is capable of clear expression, and the contract is silent therefore no contradiction

6.4.4 In a table format the above analysis would look like this:

Facts	Rule	Thoughts/Logic
Xeno Pty Ltd applied for and was accepted as tenant of an office block on the 5th floor of a building owned by the Municipal Council. Xeno signed a document called “Conditions of Tenancy” which listed all the obligations owed by Xeno to the Council, but was silent as to the Council’s obligations. The lift in the building was old and regularly broke down. Repairs often took more than a week to effect. The stairs were a Hitchcockian delight of creaks, moans, black holes and rusty, broken railings. When Xeno refused to pay the rent the Council evicted it and sued for the rent. Xeno wishes to claim damages for the poor state of repairs.	Legal Principle/Rule [LP]: - Implied by the Courts for Business Efficacy. • Must be reasonable and equitable. • Be necessary to give “business efficacy”. • Be so obvious it “goes without saying”. • Be capable of clear expression. • Must not contradict an express term.	Both benefit from compliance with the term, as if it is safe the Council may not be sued for negligence, A reasonable person would expect a “Safe” user friendly building. It is also necessary for tenants to gain access otherwise defeats the purpose of the agreement. Is it so obvious? Above point is.... It is capable of clear expression, see issue The written contract is silent therefore no contradiction.

6.4.5 Converting the above to IRAC

Facts	Potential Issues	Rules	Application	Conclusion
<i>Conditions of Tenancy</i> which listed all the obligations owed by Xeno to the Council, but was silent as to the Council's obligations. The lift in the building was old and regularly broke down. Repairs often took more than a week to effect. The stairs were a Hitchcockian delight of creaks, moans, black holes and rusty, broken railings.	- Would the Court imply a term stating: 'The council will maintain the premises and ensure the lift and stairs are in safe good working order...'? OR - Would the Court imply a term on the grounds of business efficacy into the contract to enable safe and easy access and occupation of the building?	Legal Principle/Rule [LP]: - Implied by the Courts for Business Efficacy. - Must be reasonable and equitable. - Be necessary to give 'business efficacy'. - Be so obvious it "goes without saying". - Be capable of clear expression. - Must not contradict an express term.	It is reasonable and equitable to both parties, since both benefit from compliance with the term, as if it is safe the Council may not be sued for negligence, but also will ensure tenants and it obviously does not impose any burden upon them other than financial and what a reasonable person would expect of any owner of a building. it is also necessary for the contract to work as if the tenants cannot get access to their offices or their clients cannot then it defeats the purpose of the whole tenancy agreement. Is it so obvious, maybe not as tenants often pay for expenses/outgoings such as electricity but maintenance of the actual building? It is capable of clear expression, and the contract is silent therefore no contradiction.	Yes they would imply a term.

Issue [2]: - What type of term would it be?

Legal Principle/Rule: A condition is a term so important that a breach of it goes to the very heart of the contract: if not then a warranty.

Authority: - *Bettini v Gye/Associated Newspapers Ltd v Banks/ Oscar Chess Ltd v Williams*.

Application: - Not clear that it is a condition or a warranty, since it can be breached in a variety of ways and in differing degrees of severity.

Legal Principle/Rule: An intermediate term is one where the court cannot determine whether a term is a condition or a warranty. The remedy depends on the type or severity of a breach; serious breach the remedy is as per a condition; termination and damages; a minor breach damages only like a breach of a warranty.

Authority: - *Hong Kong Fir Shipping Co v Kawasaki Kisen Kaisha Ltd*

Application: - it is more likely to be a minor breach, but an interesting argument is that entry or access to the premises is important, e.g. what would happen in an emergency?? Therefore, there should be a right to termination, and also damages. And this is what your client wants to argue as it is not keen to pay the rent.

And so on.....

6.4.6 Step 4: Draft the “answer”.

Okay how do you place all of this, i.e. the IRAC format into an answer? Remember the overall structure included:

- **Introduction**
- **Body**
- **Conclusion**

Each paragraph = one complete discussion of IRAC; conclusion links with following paragraph.

Introduction

For Xeno Pty Ltd [“Xeno”] to legitimately refuse to pay its rent, which is one of its undeniable obligations with its lease arrangement with Municipal Council, Xeno needs to prove that the failure of the Council to maintain the lift and the stairs in a reasonable manner has breached a term of their agreement. Such a term would have to be implied by the Court either as one necessary for business efficacy, or alternatively because it is a term of reasonable level or quality of service. After all, access to their room or office by using the lifts or stairs could be seen as part of the tenant’s rights (and therefore the landlord’s obligations) to “quiet possession”.

Is it a Term of the Contract?

Firstly, could such a term, namely: ‘That the council will maintain the premises and ensure the lift and stairs are in safe good working order...’ be implied on the grounds of business efficacy? The Privy Council stated

Commented [AC36]: The introduction certainly identifies and clearly explains one issue- but it doesn’t identify all of them. More importantly doesn’t include the key issue - the type of term, which would allow the tenant to terminate the contract or claim damages- thus answering the specific question.

Commented [AC37]: Heading used to describe the issue- good. It appears that each paragraph is a ‘complete’ IRAC.

in *BP Refinery (Westernport) Pty Ltd v The Shire of Hastings*²⁷ that in order to imply a term for business efficacy the following needs to be satisfied:-

- Must be reasonable and equitable;
- necessary to give 'business efficacy';
- so obvious;
- capable of clear expression;
- must not contradict an express term.²⁸

It is reasonable and equitable to both parties, since both will benefit from compliance with the term. If the building is safe, the Council may not be sued for negligence, but also will ensure the building is attractive to prospective tenants and secondly, it is beneficial to tenants since they occupy and use the building. Maintenance of the lifts and stairs will obviously impose a financial burden on the Council, but this is an expense any reasonable person would expect of any owner of a building. Such a term is also necessary for the contract to work as if the tenants cannot get access to their offices or their clients cannot then it defeats the purpose of the whole tenancy agreement. In fact such a term is so obvious, that it "goes without saying". Also from the facts it does not appear to contradict a written term of the lease. It is assumed that such a term can be capable of clear expression.

However, if the Courts were reluctant to imply such a term, since arguably occupation of the building can continue with a less than adequate lift, then it could be argued in the alternative that a council or indeed any landlord would be expected to exercise a reasonable level of care in the maintenance of any lifts, or stairs, in a building owned by them. After all it is an important health and safety issue, but also can affect the business success and profits of the tenants. Such terms have been implied into contracts of maintenance as held in *Helicopter Sales Pty Ltd v Rotor Work Pty Ltd*²⁹ and *Costa Vraca Pty Ltd v Berrigan Weed & Pest Control Pty Ltd*.³⁰ It is argued here that such a term would be reasonable for the tenants to again enjoy a reasonable level of "quiet possession."

It is argued here that such a term, namely: 'That the council will maintain the premises and ensure the lift and stairs are in safe good working order...' would be implied by the Court on the grounds of business efficacy or as part of the reasonable obligations of a landlord.

What Type of Term Would it Be?

²⁷ (1977) 180 CLR 266. The Privy Council's decision was later approved by the Australian High Court in *Codelfa Construction Pty Ltd v State Rail Authority of NSW* (1982) 149 CLR 337.

²⁸ (1977) 180 CLR 266.

²⁹ (1974) 132 CLR 1, Sweeney & O'Reilly, above n 4 at p. 158.

³⁰ *Helicopter Sales Pty Ltd v Rotor Work Pty Ltd* (1974) 132 CLR 1; *Costa Vraca Pty Ltd v Berrigan Weed & Pest Control Pty Ltd* [1998] 693 FCA.

Commented [AC38]: Wait, these cases relate to a service being performed by one party at the request of the other party. Can they be applied here? Are the facts significantly different?

Regardless of the means by which the Court implies the term suggested above into the contract the next issue is whether the Council's breach is sufficient to justify Xeno to terminate the contract. This is necessary if Xeno is to be spared an action brought by the Council to recover unpaid rent. In a number of cases, the Court has stated that only a condition entitles an aggrieved party to terminate the contract for breach and also to claim damages.³¹ The Court has described a breach of a condition as one going to the very heart of the contract. Identifying a condition has been through application of what is described as the test of essentiality.³² If a term is not defined as a condition, then it will be considered a warranty. In situations of doubt the Court may identify the term as belonging to the category of intermediate terms, as held in *Hong Kong Fir Shipping Co v Kawasaki Kisen Kaisha Ltd*,³³ where the Court stated that the remedy depended on the extent of damage or loss caused by the breach, with a "major" breach resulting in a right to terminate and damages.³⁴

And so on to include damages etc.,

[Sample Conclusion: link all the conclusions from each paragraph above; ANSWER the actual question; nothing new introduced in the conclusion.]

Conclusion

It has been argued here that a term would be implied in the contract that basically would impose on the Council an obligation that it maintains the lifts and stairs in reasonable and safe working order. Such a term could be argued to be a condition, but is more likely to be an intermediate term. Whether a breach by the Council would constitute a major breach is based upon just how badly the lifts currently operate, on the safety level of the stairs and the time taken to repair both. This information is unclear but it is assumed here that the extent of repairs required would be so vast as to deprive Xeno from enjoying the full benefit of occupation, the very essence of their contract or lease and as such entitle them to terminate the contract and claim damages for the loss of profits that ordinarily arose from the delay caused by said repairs.

Commented [AC39]: Can you make this assumption- is it wise to make an assumption for convenience sake?

Thus, Xeno would not have to make any further payments of rent after the date of termination.

AND SO ON

6.5 Any Thoughts?

³¹ See the following cases *Bettini v Gye* [1874] All ER 242; *Associated Newspapers Ltd v Bancks* (1951) 83 CLR 322; *Oscar Chess Ltd v William* [1957] 1 All ER 325

³² Ibid, at 209 see the authors' discussion of *Tramways Advertising Pty Ltd v Luna Park (NSW) Ltd* (1938) 38 SR (NSW) 632.

³³ *Hong Kong Fir Shipping Co v Kawasaki Kisen Kaisha Ltd* [1962] 2 QB 26.

³⁴ A "minor" breach only entitles the victim to damages.

³⁴ *Hong Kong Fir Shipping* (above n 40).

How would you improve the above answer?

6.6 Sample Question 5

For this example I have provided a sample question, an answer from a student, with their intended objectives/explanation for the specific content in red, and the tutor's feedback in green. Please have a look at the question and make your own plan or scratch out your thoughts before viewing the answer and the comments/feedback.

6.6.1 Question:³⁵

Jack Smithers and his wife Xiao Ling own and manage an ostrich farm near Mirboo North, in the State of Victoria, called "Aussie Ostriches Pty Ltd." He sells their meat throughout Australia, and his profits for the last financial year equalled A\$ 750,000.

Recently he entered into a contract with Poles Ltd (a large nationwide supermarket chain) to supply ostrich meat. The contract is worth \$A120,000 annually, and will last for two years (2007). In return for supplying 250 kg of meat each month, he will receive A\$10,000. In order to meet the terms of the contract he has to expand his business, including the purchase of another incubator valued at A\$25,000.

Clause 14 of the contract states: 'Aussie Ostriches will only supply meat that is safe for human consumption.'

*In October 2005 with the spread of **H5N1** (known as Avian influenza or "bird flu") in Europe and Asia, Jack becomes worried that it may affect his business. However, he is slightly relieved that so far there have been no cases reported of ostriches being infected. (Although this could be explained by the fact that not many ostriches are found in the areas currently affected by the disease.) All of the information Jack has access to only lists bird species such as, domestic and wild chickens, swans, and ducks. The list does not include ostriches.*

In January 2006, bird flu reaches Indonesia, Jack becomes extremely worried, and not only about his business, but about his personal safety as well as his wife's (who is 7 months pregnant). Currently there is one vaccine being tested by DRM Ltd an Australian company, but it is only 50% effective. Due to pressure by the Australian government which is starting to panic about the spread of the disease, DRM Ltd decides to import a US manufactured vaccine -used to inoculate humans- which the US company claims has been fully tested. The vaccine is rushed through the approval process by the Therapeutic Drug Administration (TDA) and goes on sale at A\$1,000 per vaccination.

DRM Ltd provides an instruction brochure advising clients about the vaccine. Included in the brochure is the following:

(1) Pregnant women are recommended to seek advice from their paediatricians before being vaccinated.

Xiao Ling's paediatrician advises Xiao Ling not to proceed with the vaccination because there is simply no information available about possible side-effects, but in the end she decides to go ahead with the vaccination. Jack also pays for all of his staff to be vaccinated.

In March 2006 there are unconfirmed reports that bird flu may be in Victoria, Queensland and NSW. The Federal government passes legislation that any birds suspected of being infected will be killed and a quarantine zone will be imposed. When one of Jack's neighbours, a chicken farmer, dies mysteriously, all his

³⁵ The following question and answer was from a student who completed her studies in semester 1 2006.

chickens are killed, and Jack's ostrich farms falls inside the 50 km quarantine zone, and he is unable to sell or allow any of his stock off the property until tested by the relevant health authorities. Although **none** of Jack's ostriches are found to be infected, and the quarantine is lifted, Poles Ltd refuses to proceed with the contract. Furthermore, Poles Ltd refuses to pay the previous month's account of A\$10,000 for ostrich meat supplied prior to the quarantine being established. When Jack demands payment the Poles Ltd spokesperson advises Jack that they have destroyed the meat and intend to sue him for breach of contract. They are also claiming they have lost A\$1,000,000 in revenue since customers hearing about his ostrich farm being included in the quarantine zone, decided all poultry products were infected, and have boycotted several regional stores.

Furthermore, it is discovered that Xiao Ling's unborn child is severely affected by the vaccine, and is born with severe mental and physical disabilities requiring permanent and extensive medical assistance. It appears that the US manufacturer of the vaccine had not conducted any tests to determine whether the vaccine could affect unborn fetuses, and DRM Ltd had failed to advise the TDA of any possibility that it would affect unborn fetuses. The TDA in view of the emergency created by the threat of bird flu advised DRM Ltd that it must warn pregnant mothers that a danger may exist. The Australian government has indemnified the US company, thus protecting it from any legal action brought against the company in relation to injuries caused by the vaccine.

(a) Advise Jack in regard to the following:

- (i) His contract with Poles Ltd, and whether he can claim the A\$10,000 for the first shipment of ostrich meat.
- (ii) His probable legal rights and obligations in view of Poles Ltd's decision not to continue with their contract.

[20 marks]

(b) Advise Xiao Ling of her legal rights, and whether she can recover damages from DRM Ltd for the injuries suffered by her child.

[10 marks]

[TOTAL 30 marks]

6.6.2 ANSWER:

Please note that the: **student's comments are in red**, and **the lecturer's comments are in green**. Including both will give you an indication of what the student wanted to achieve for each paragraph, and then the marker's comments will indicate *how well* that was achieved.

Abstract/Synopsis

The bird flu scenario raises many interesting points of law. Jack and Xiao find themselves with a client refusing to honour a contract and a permanently ill child. Circumstances arising because of reactions of people in unusual and risky situations brought about by bird flu panic. In relation to the contract, the legal advisers conclude there is a valid contract to enforce by establishing its terms and showing there has been no breach, thus payment is due. In relation to the personal injuries, the legal advisers conclude a duty of care

was owed but not breached and what could be a misleading recommendation was not relied on. The issues of reliance, causation and policy concluding Xiao's child's situation is non-compensatory.

[No real need given word limit. In future best to delete this and convert into intro.] [Included abstract as have been marked down in past for not including by other lecturers. Advising students they may need luck with formatting requirements as changing Monash Handbook online which is confusing (if not contradictory), coupled with lecturer's personal preferences is tricky. The bottom line advice is check with your lecturer for each unit and each essay. There are so many formatting nitty gritty's to clarify for each assignment the task can become quite time consuming for both staff and students.]

Introduction

The directors Xiao and Jack of Aussie Ostriches Pty Ltd (Aussie) require legal advice in relation to several issues arising because of the threat of bird flu. The issues concern a commercial contract for the sale of meat and personal injuries suffered by their child.

[Used two sentence introduction and conclusion to enclose both parts (a) and (b) of question into one essay.]

[This is too general, get straight to the specific issues.]

Claim of \$10,000 for First Shipment

The legal issues to consider, to establish if Aussie can successfully claim the first contract payment of \$10,000 are, firstly confirming there is a valid contract, secondly determining its terms, and thirdly assessing whether any terms have been breached to determine whether payment is due.

[This is more suitable for an introduction.] [Introduction for question (a)(i).]

Firstly, there exists a contract between Aussie and Poles Ltd (Poles). The general rule is an agreement must be certain and the clear terms of this contract reflect such certainty³⁶. All the essential elements to form a binding contract are satisfied, being: offer, acceptance³⁷, intention and consideration³⁸. The required amount of written evidence is satisfied as it identifies and details the parties, property and price. The agreement between the two companies made in writing is thus a commercial contract enforceable by the courts.

[Not really necessary and not in this detail.]

[Tried to apply learnings of some of all topics studied to week 9 with appropriate weighting. That is attempting to place most of the discussion where there was an issue. Where there is an issue will depend to some degree on the students' interpretation of the question and subsequent answer argued.]

Secondly, the express terms of the contract are clear, 250kg of meat per month for \$10,000 for two years, totalling \$240,000. There is a specific provision with clause 14 as to the meat being safe. The parol evidence rule applies so the meaning of this term is ascertained from the document and not otherwise³⁹. This clause is important and so is a condition; thereby any breach of it enabling the innocent party to terminate the contract and claim damages. Clause 14 goes to the essence of the contract as defined in *Tramways Advertising Pty*

³⁶ *Toyota Motor Corporation Australia Ltd v Ken Morgan Motors Pty Ltd* [1994] 2 VR 106.

³⁷ *Carlill v Carbolic smoke Ball Co* [1983] 1 QB 256.

³⁸ *Edwards v Skyways Ltd* [1964] 1 All ER 494.

³⁹ *Hope v RCA Photophone of Australia Pty Ltd* [1937] 49 CLR 348.

*Ltd v Luna Park*⁴⁰ whereby Jordan CJ said, "...the promise is of such importance to the promisee that he would not have entered into the contract unless he had been assured of a strict or a substantial performance of the promise..". [Footnote required after quote.] [So what remedies? Have here even if you follow up later.] [Paragraph to acknowledge understanding of the express terms and highlight interpreting and considering the express term, clause 14, is the main issue.]

Although not written into the contract there are implied terms applicable to the contract. Terms can be implied by the courts or by statute. The courts imply co-operation and good faith into all contracts. In *Burger King Corp v Hungry Jack's Pty Ltd*⁴¹ there was an attempt to frustrate the agreement by approval being refused for new restaurants. It was held the implied obligation of good faith had been breached. Poles' refusal to pay for the first delivery can be seen in this light as going against its implied obligations of co-operation and good faith to comply willingly with the terms of the contract. [Not in the same league as Hungry Jack's, but a good attempt.] The Victorian Goods Act implies relevant terms in s18, the goods match the description, s19(a) the goods be reasonably fit for its purpose, and s19(b), the goods be of merchantable quality. [Prove consumer contract first.] According to s16(3) once the buyer has accepted the goods, the property passes to the buyer who cannot compel the seller to take the goods back. Acceptance is defined by s42 where a reasonable time has elapsed since delivery and the buyer has not tried to reject the goods. Poles has accepted the first delivery with the ostrich meat matching the description, being fit for its particular purpose of human consumption and thus of merchantable quality. [Impact of destroying meat? Comment on interfering in rights of ownership.] [Paragraph included after first draft from student discussions on WebCT. I initially thought, because my essay was relying on anticipatory breach, there was no requirement to go into implied terms as this was not an issue for my opinion. Having completed the first draft of my essay under the word limit and forum discussions prompted me to discuss the implied terms.]

Thirdly, the first 250kg delivery is made according to all the terms of the contract and payment is thus due. There is no evidence of breaches of any express or implied terms. Concerns and limitations on the produce from the quarantine occur after delivery and therefore do not apply to the first delivery. Specifically there is no evidence the meat is unsafe, only precautionary action is taken to prevent the risk of the bird flu by the government after delivery. [Also argue Chilco's case re Poles' action.] [Paragraph to clarify opinion meat is safe, so can then progress to conclusion.]

Aussie has a very strong case to claim successfully \$10,000 for the first shipment of ostrich meat from Poles as per the terms of the contract. [Paragraph concluding (a)(i).]

Continuation of Contract

The legal issues are, firstly, confirming Aussie's right to termination and secondly, supporting this by demonstrating the weaknesses in Poles' possible breach of contract allegations, thirdly summing up with the applicable remedy and level of damages. [Paragraph to identify issues to be discussed for (a)(ii).]

Poles refusal to continue the contract is an anticipatory breach of contract. In *Foran v Wright*⁴² an anticipatory breach by buyers of land gave the sellers the right to terminate the contract. This anticipatory breach allows the other party, Aussie, to choose whether to terminate the contract or continue with the contract and seek damages. The following analysis supports Aussie terminating the contract and seeking damages. [Paragraph

⁴⁰ (NSW) *Ltd* (1938) 38 SR (NSW) 632 at 641-2

⁴¹ [2001] NSWCA 187.

⁴² (1989) 168 CLR 385.

explaining anticipatory breach validating Aussie's right to terminate, following by rebutting paragraphs to show understanding of other issues of topics up to week 9 and support conclusion of claim for damages to pursue.]

As the mitigation principle applies. [Good, few picked this point.] The plaintiff must take reasonable steps to minimise the loss⁴³. Poles is refusing to proceed with the contract so Aussie must mitigate losses and refrain from attempting regular deliveries. It is illogical for Aussie to incur expenses and to pack and try to deliver the meat, as it is impossible for a courier to enforce the meat be accepted by Poles upon delivery. Also attempting the second delivery would be Aussie affirming the contract, rather than repudiating it. [Paragraph explaining mitigation applicable to most terminations, but particularly to anticipatory breach.]

Poles claim for lost revenue is too remote as the rule in *Hadley v Baxendale*⁴⁴ [Footnote at end of sentence.] applies. The first rule of the limb is the losses must flow 'according to the usual course of things'. The risk imposed by the bird flu is outside the usual. Where the first limb is inapplicable the second rule of the limb may apply, which determines, whether the losses were contemplated by the parties when making the contract. At the time of making the contract the available information did not point to ostriches being at risk of contracting bird flu. Thus, the risk was not in actual contemplation by the parties. It is almost certain Poles will be unsuccessful with this claim. [Paragraph rebutting claim for \$1,000,000 lost revenue.]

Poles possible ways for alleging a breach of contract are considered and unfold an extremely strong case for Aussie's right to termination by repudiation and damages. In *Wickman Machines Tool Sales Ltd v L Schuler AG*⁴⁵ the context of the whole agreement is considered to determine whether a term is a condition. The whole agreement between Aussie and Poles does rely on the meat being fit for human consumption and this satisfies the concept of essentiality. The test for essentiality is used in many cases including *Associated Newspapers Ltd v Bankcks*⁴⁶ and *Ellul and Ellul v Oakes*⁴⁷. The term is therefore a condition. A breach of such a condition would lead to termination of the contract and also damages, if applicable. Poles is alleging clause 14 was breached, claiming the meat is unsafe for human consumption. It is a fact the meat was delivered fit for human consumption and no evidence has been forthcoming to show otherwise. Poles' first claim alleging a breach of contract is thus unfounded. [Paragraph rebutting claim meat is unsafe.]

It is unknown if a delay of the second delivery occurred because of the quarantine. In any event, time in non-mercantile contracts is a warranty unless otherwise emphasised. [Is this a non-mercantile contract?] As in *Bettini v Gye*⁴⁸ the contract is for an extensive period of time and so termination is inapplicable. Further in support of Aussie's claim for continuation of the contract is the principle in *Hongkong fir Shipping co Ltd v Kawasaki Kisen Kaisha Ltd*⁴⁹ where a serious breach can only be found if the innocent party has been deprived of substantially the whole benefit contracted for. Aussie fulfilled its obligations in delivery of the first 250kg and is in a position to substantially fulfill the remainder of the contract. Poles' refusal is unreasonable in the circumstances. *Cehave NV v Bremer Handelsgesellschaft mbH*⁵⁰ further supports Aussie. In this case there was no right to terminate the contract as the innocent party had not been substantially deprived of the whole benefit of the contract by the actions of the other party. The goods were held fit for their original purpose

⁴³ *Metal Fabrications (Vic) Pty Ltd v Kelcey* [1986] VR 507.

⁴⁴ (1954) 9 Ex 341; 156ER 145.

⁴⁵ [1974] AC 235.

⁴⁶ [1952] HCS 24.

⁴⁷ (1972) 3 SASR 377.

⁴⁸ [1874] All ER Rep 242; 1QB 183.

⁴⁹ [1962] 2 QB 26.

⁵⁰ (*The Hansa Nord*) [1976] QB 44.

of animal feed. This can be paralleled to Aussie's case with the meat still fit for its original purpose of human consumption. In *The Commonwealth of Australia v Amann Aviation Pty Ltd*⁵¹ it was held the Commonwealth could not rescind the contract because of delays from minor breaches in the readiness of the aircraft on the first day. The breaches were described as inconsequential. [A better argument would be 1 shipment only doesn't entitle termination as it is a 2 year contract.] Similarly any minor breaches for delay in the second delivery of Aussie's meat are also inconsequential over the two year contract and a right to rescind is not forthcoming. Depending on the delay caused Poles may have a right to refuse to pay for deliveries so late that two months supply would arrive in the one month, resulting in an unfair situation of oversupply of perishable goods on Poles. [Paragraph rebutting claim for breach of condition or warranty.]

Poles is being unreasonable in suggesting the contract has been frustrated. Poles is a large nationwide supermarket and only a few regional stores have boycotted in fear of the bird flu. The rule of absolute contracts applies as laid down in *Paradine v Jane*⁵² as there is no frustration of the contract by the government's intervention. This rule is based on the principle of freedom of contract and whilst the development of the doctrine of frustration has enabled some exceptional circumstances to render a contract frustrated, Poles is not in such a position. Frustration generally occurs when the contract is impossible to perform rather than merely a contract that is more difficult to perform. *Tsakiroglou & Co v Noble*⁵³ demonstrates government orders increasing the costs of carrying out a contract do not amount to frustration. [Good research.] In addition a claim for frustration is unlikely to be successful where the frustrating event should have been foreseen. The perishable food and livestock trade is inherently at risk from diseases and delays due to factors outside contracting parties' control. Minor delays from inherent factors and a few customers avoiding the product because of elevated risks is foreseeable. [Paragraph rebutting claim for frustration.]

Aussie has a legal right to pursue termination in the form of repudiation. The remedy will be in the form of damages. The basic principle of damages as summarised by Park E in *Robinson v Harman*⁵⁴ is to place the innocent party "financially in the same position he or she would have occupied if there had been no breach". In addition to the claim for \$10,000, it should claim for the remaining contract price in the sum of \$230,000. Aussie has an obligation to Pole to reduce the claim for damages for any shipment(s) missed or unduly late arising from the quarantine. A claim for the cost of the \$25,000 business expansion is inappropriate as this would lead to improving the claimant's position, rather than compensatory damages. [Disagree but good attempt.] [Concluding paragraph for (a)(i) and (ii) of essay discussing remedy of damages. Discussion of damages important as advice is to seek damages.]

Damages for injuries of Child

Xiao's legal rights are examined by analysing the issues. Considering, firstly, Part VA and Part V of the Trade Practices Act 1974 (the TPA), secondly, the tort of negligence and thirdly, having in mind the effects of policy. Xiao has the option of concurrently bringing an action under the TPA and for negligence. This requires applying the TPA legislation. This also requires applying the common law in determining whether Xiao was owed a duty of care, whether the standard required to fulfill that duty was breached and whether the losses were caused by the negligence and reasonably foreseeable. All steps are necessary to establish if Xiao is in a position to receive damages for her losses. [Paragraph summarising issues to be discussed involving legislation and common law.]

⁵¹ (1990) 22 FCR 527.

⁵² (1674) 1 Aleyn 26; 82 Er 897.

⁵³ [1962] AC 93.

⁵⁴ (1848) 1 Ex 850 at 855.

Firstly considering briefly the legislation in Part VA of the TPA in relation to the liability of manufacturers and importers for defective goods. Section 75AD is specifically relevant, raising the question of liability for the defective vaccine causing injuries to Xiao's infant. The benefits of the TPA for plaintiff's such as Xiao acting for her child, is she only needs to prove the supply of the defective good and loss or damage arose because of it. All relevant aspects that affect the safety of a good are considered. Such thought includes the nature of a product. In *Carey-Hazell v Getz Bros & Co (Aust) Pty Ltd*⁵⁵ a heart valve was found not defective just because it caused side-effects in a small number of cases. There is a generally acknowledged risk of malfunction with certain medical products. This ruling referred to the Explanatory Memorandum for Part VA which stated that:

"Such products [certain pharmaceuticals and vaccines] are known to confer substantial benefits which flow to the wider community at large. The small statistical chance of injury associated with them does not of itself mean that they are "defective". [Footnote please.]

Section 75AM applies so liability is joint and several between the possible defendants of the US Company, DRM Ltd (DRM) and the Government. Section 75AN about contributory acts or omissions which reduce compensation, can reduce the compensation to nil. [Nil?] [Paragraph picking relevant sections in legislation to support dismissing claim under Part VA because of contributory acts s.75AN.]

Xiao has a legal right for an action against DRM for misleading conduct under s52 of the TPA, providing reliance on the misleading conduct can be established. DRM's recommendation to merely seek advice is unintentional and s52 can award damages for innocent misrepresentations. The reliance on the advice needs to be reasonable in all the circumstances, with a mere possibility of reliance insufficient⁵⁶. Xiao followed the advice in the information brochure and ignored the outcome, which amounts to not relying on the advice. [Paragraph dismissing claim under s.52 TPA because of reliance issue.]

For the reasons outlined about causation in an action for negligence that follows, likewise, actions under the TPA will be unsuccessful because the link between the damage and causation is broken by Xiao ignoring professional medical advice. [Paragraph linking TPA and tort of negligence actions both dismissed for lack of causation.]

Secondly it is logical to assess an action in the tort of negligence. *Don[a]ghue* [Spelling mistake.] v *Stevenson*⁵⁷ defines the test to determine whether a duty of care is owed with Lord A[i]tken's [Spelling mistake.] statement that reasonable care must be taken to avoid injuring your neighbour. A neighbour being a person who ought to be contemplated. This is a question of law to be decided by a judge having in mind to balance, taking personal responsibility and deterring careless conduct. It is firmly established in many cases⁵⁸ that a manufacturer such as the US Company producing the bird flu vaccine owes a duty of care to its consumers. Likewise the importer and TDA owe a duty of care in law to consumers. [To an unborn child?] [Case Fisher v Harrods.] [Paragraph on step 1 duty of care, confirming it is owed.]

The standard of care owed to Xiao is a more complex issue to determine once a duty of care is established. The standard is based on what a reasonable person would exercise in the circumstances. In *Wyong Shire Council v Shirt*⁵⁹ this is described as considering the magnitude of the risk, the probability of occurrence and

⁵⁵ [2004] FCA 853

⁵⁶ *Ricochet Pty Ltd v equity Trustees Executor and Agency Company Ltd* (1993) ATPR

⁵⁷ [1932] AC 562

⁵⁸ *Grant v Australian Knitting Mills* (1933) 50 CLR 387, [1935] AC 85.

⁵⁹ (1980) 146 CLR 40.

the practicalities of prevention. The particular facts of each case need to be considered objectively with the reasonable person test. The production and distribution of medicine inherently requires proper labelling because of the risks of side effects. The liability of proper labelling rests on several parties in this case, being, the US Company, DRM the importer and the Therapeutic Drug Administration as secondary tester and final approver. In this case the TDA approves the substance leaving DRM to warn pregnant mothers danger may exist. The wording DRM provides in a brochure merely recommends pregnant women to seek advice. [\[Was this an adequate warning?\]](#) Xiao does this, however, fails to follow the prudent advice of her paediatrician. As in *Holmes v Ashford*⁶⁰ advise clearly cautioning consumers before using the product is good evidence and sufficient to find defendant's not liable when advice is not followed. [\[However, remember Rogers v Whittaker.\]](#) In *Rosenburg v Percival*⁶¹ an omission to warn a patient of possible adverse consequences did not cause harm as the patient would have undergone the surgery anyway. Xiao's decision to continue with the vaccination regardless of warnings is similar. It may be a fact the advice in the brochure was less attentive to the issue than the TDA had in mind, however, Xiao in the end acted against medical advice. [\[Paragraph on step 2 standard of care included to show understanding of step by discussing facts of assignment scenario, as this is a question of fact.\]](#)

Xiao's negligence is pivotal in determining causation and remoteness of damage. There can be several causes and the application of the 'but for' test is useful to ascertain any contributory negligence. The result of the 'but for' test is then subject to a test of whether the defendant is in law responsible. Xiao's circumstances can be compared to *Cork v Kirby MacLean Ltd*⁶² where each party can state 'but for your fault, it would not have happened'. Xiao, DRM, TDA and the US company can all use the 'but for' test to try and avoid liability. The possible defendants in this situation also have a good case to show the plaintiff assumed the risk because the 'lack of information' available to the paediatrician presented an obvious danger and risk of injury she voluntarily agreed to accept. This situation can be distinguished from *Moore v Woodforth*⁶³ as the chain of causation was broken by Xiao voluntarily vaccinating, against medical advice. Xiao was a director in a superior position to an employee feeling safe and obligated to take the vaccine provided by an employer. [\[Interesting argument.\]](#) Volenti non fit injuria applies, thus the defendants are not liable at all. Had Xiao not received such prudent advice from her paediatrician, compensation could be forthcoming for her child's injuries. [\[Discuss separately.\]](#) [\[Paragraph on step 3 causation and remoteness to show understanding of step by relating to assignment question, again this being a question of fact. Analysis dismissing actions under TPA or negligence, being the turning point that there is no cause of action past duty of care and standard of care.\]](#)

Thirdly, in addition to the Xiao assuming the risk, policy considerations apply to this situation in favour of the defendants. As in *March v Stramare Pty Ltd*⁶⁴ causation is a matter of common sense and policy. Policy steps in to ensure the TDA supplies a vaccine within a reasonable amount of time. Policy also steps in to prevent and curb undesirable circumstances such as an insurance crisis. The undesirable event from this matter, quite an unfeasible event, is the government compensating plaintiffs who are injured because: they panicked in reaction to unconfirmed reports about the bird flu; and in overcautious and premature circumstances chose to be vaccinated contrary to professional medical advice. Policy ensures medical care and Centrelink benefits are available and so at least a good basic standard of care is provided in cases where compensation is not forthcoming. [\[Reference for this proposition?\]](#) Recent decisions in the courts have moved the onus more towards self responsibility as summarised in this statement from *Perre v Apand*⁶⁵:

⁶⁰ [1950] 2 All ER 76.

⁶¹ (2001) 205 CLR 434.

⁶² [1952] 2 All ER 402.

⁶³ [2003] NSWCA 9.

⁶⁴ (1991) 171 CLR 50.

⁶⁵ (1999) 198 CLR 180 at 223.

“One of the central tenets of the common law is that a person is legally responsible for his or her choices. It is a corollary of that responsibility that a person is entitled to make those choices for him or her self without unjustifiable interference from others.” [\[Footnote here.\]](#)[\[Paragraph on final issue of policy, which coupled with lack of causation, dismisses actions. Discussion of policy just as important as causation in opinion of no cause of action.\]](#)

Xiao's claim for damages, whether in tort or the TPA, will most likely be unsuccessful because causation cannot be established as the fault of DRM or the other possible defendants. Xiao is very unlikely to receive any damages for her child because unfortunately she did not rely on the advice in the brochure, instead she acted against steadfast specialist medical advice. [\[Concluding paragraph for \(b\) summarising no valid claim worth pursuing.\]](#)

[\[Remedy of damages not discussed as opinion is no cause of action.\]](#)

Conclusion

Aussie should pursue damages for the contract supplying meat, for the first shipment and the remaining shipments of the two year contract. Jack and Xiao should not pursue compensation for injuries of their child. [\[Paragraph summarising final advice on all issues answering \(a\) and \(b\).\]](#)

Part 6

Using IRAC in Examinations

6.0 Introduction

Answers to problem-style questions in the examination follow the same format, IRAC, but there are important differences since you are operating under the time pressure (e.g. two (2) hours). Time pressure means you won't have time to plan the answer using the table above- so what do you do? There is no easy answer. You need to practice your answer techniques throughout the semester so that by the end of the semester you can complete that plan (i.e. the table) in your head or by scratching a few notes to yourself on your answer booklet. This result takes practice- and supervised revision. Go through any past examination papers provided to you and then contact your tutor and ask them to look over your answers. Make arrangements to talk with your Unit Convenor if you have any concerns about your ability to answer any of the questions.

6.1 More Specific Tips

1. **Allocate time available in examinations and tests to maximise marks.** If an exam has three equal value questions do not write excellent answers to two but run out of time before commencing the third.

Let's assume you score 10 out of ten for those answers- your total is 20/30. BUT if you say scored 7/10 for each you get 21/30. IT is more difficult scoring the extra one mark to raise the score from 8/10 -9 or 10/10 than it is to score 5/10 for another question.

Just as important is the allocation of time within a question. If a question is worth 20 marks, the examiner expects a discussion of many issues. A lengthy brilliant discussion of one issue is not an efficient allocation of time.

2. **Read the question carefully.** By doing this you will ensure you answer the actual question that has been set. If the question asks: "How much may Peter expect in damages?" then you'll just discuss Peter and his right to damages. If the question is "What remedies are available?" and no specific person is exclusively mentioned, then you should realise that you should consider the remedies open to all the characters in the question.
3. **Read the facts carefully.** A friend of mine at Law School when completing his Criminal Law exam wrote a brilliant answer proving that indeed the accused had committed murder. Only to discover whilst checking in the last 5 minutes of the exam, that the victim had not died; all he had time for was to include a hopeful last sentence: 'Well all the above *would have been true ASSUMING the victim had died, but* as they haven't perhaps the accused should be charged with attempted murder?'
4. **Use a logical structure in your answer.** Structuring your answer around a framework should prevent your answer swaying all over the place. The law is a step-by-step process.

5. **Use a clear layout to your answer.** The more you can do to make your answer easier to read the better. Grammar, spelling and legibility are most important.
6. **Use correct legal expressions.** Like “offeror”. You can use abbreviations if you explain them (only once and quickly) or known acronyms that have been used throughout the semester- e.g. “ADI”.
7. **DO NOT RECITE THE QUESTION AS PART OF YOUR ANSWER.** Only refer to relevant facts where necessary during your application stage. Otherwise, you will waste time!!!!!!
8. **In the exam you will not be expected to give full case citations.** The following examples are adequate: *Smith v Jones*; *s 18 ACL*; *s 184 Corporations Act (CA)*.

6.2 More Specific Tips

Peter is the owner of an exclusive dress shop called "La Parisienne". He wishes to travel overseas to buy some new fashions for his shop, so he leaves his daughter, Amanda, in charge of the shop. During Peter's three-week absence, Amanda decides to hire a new sales assistant for the shop. Amanda also buys some imitation Christian Lacroix gowns, which are labelled as genuine gowns, to sell in the shop.

Advise Peter whether he is liable to pay the wages of the new shop assistant.

6.2.1 Plan of Approach

Step1: Identify the Issues.

Think:

- *Why would he have to pay the wages to a new shop assistant [SA]? Answer: contract of employment. But he did not enter into the agreement with the new SA, his daughter did; therefore, why isn't she, his daughter, liable??? Aha! He leaves Amanda in charge to act on his behalf: **Agency!***
- *So, what part of agency? There is no question of formation, **so AUTHORITY!** There are no clues as to what her actual authority is, so therefore focus **on ostensible or apparent authority!!***
- *Therefore, the issue is: - ‘**Would Amanda’s ostensible authority as the Acting Manager of the Store include hiring employees?**’*
- *Is it significant that it is his daughter: **second issue – intention to be bound.***
- *Should I assume his daughter is over the age of 18??? How to ensure I don't miss out marks?? Can't “sit on the fence” Curse those examiners this could be a trap! The age is significant- cold change he answer...treat it simply? **Make it clear I recognise the significance and absence of key facts- but don't go down the rabbit hole?***

Step 2: Identify the Relevant Rules and Cases.

1. Ostensible authority is dependent upon a representation by those with ACTUAL authority (in this case Peter) that their agent has a certain level of authority, which is necessary in a manner of speaking, for the agent to perform their task, employment etc. This representation can be as simple as a job title: - 'Acting manager'. How do the Courts determine the level of authority? Trade custom will be very important. So, what level of authority do other acting managers in a retail clothing store have, and does it extend to hiring new staff? Think about it, how else will the Court be able to determine this?
2. In situations where the actual authority is limited, or arguably when it is unclear [our example] then if, I stress *if*, ostensible authority is greater than actual authority, then the courts have shown that the Principal [Peter] will be bound by the actions of their agent.
3. Should I assume his daughter is over the age of 18??? How to ensure I don't miss out marks??
4. It is his daughter, so the domestic presumption is relevant here, i.e. is there an intention to be bound? Here the rule is basically that in situations where the relationship between the parties has a domestic or social nature, then there is a presumption that the parties, because of the nature of their relationship do not intend to take one another to court, if the agreement is breached. This can be rebutted if the circumstances showed a commercial flavour or if the seriousness of the consequences
5. *Cases.*
 - a. *ANZ Bank Ltd v Ateliers; Freeman and Lockyer v Buckhurst Park Properties; Hely-Hutchinson v Brayhead Ltd.*
 - b. *Freeman and Lockyer v Buckhurst Park Properties; Hely-Hutchinson v Brayhead Ltd.*
 - c. *Balfour v Balfour; Roufos v Brewster; Todd v Nichol; Wakeling v Ripley.*

6.2.2: Put into the Final Answer Format.

Colour code

I= Issue

R=Rule (Authority)

A=Application

C= Conclusion

New Page [hint do this in the exam]

Question 1

Whether Peter is responsible for the new shop assistant's wages will depend upon resolving the issue of whether Amanda is acting within her authority as an agent of Peter. The second issue is whether namely the contract of employment between Peter and Amanda is affected by Amanda being Peter's daughter. There is a potential issue regarding the age of the daughter- whether she is a minor or not.

Dealing with the latter issue first the facts do not indicate the age of his daughter. Her age is significant since it raises the question of whether an agent can be a child, [*Age of Minority Act (Vic) s 3 states 18 is the age of Majority*] since a child lacks capacity to enter into contracts of non-necessaries (*Goods Act 1958 (Vic) s 7; Nash v Inman*). Whilst it could be argued that this contract is necessary-after all a shop requires a manager- it would be simpler if the daughter was over 18.

Proceeding on the basis that the daughter is of age and not a minor raises the issue of whether there is an intention to be bound. Whilst there is a presumption that when an agreement takes place in a domestic situation, namely between father and daughter, that there is no intention to be bound, this can be rebutted. (*Balfour v Balfour*) The presumption will be rebutted if the overall circumstances have a commercial flavour (*Roufos v Brewster*). Here the agreement relates to maintaining Peter's business and this would indeed rebut the presumption. Therefore, a valid agency agreement has been created.

The first issue could be summarised as: 'Would Amanda's ostensible authority as the Acting Manager of the Store include hiring employees?' This is because the facts do not indicate the level of actual authority. Ostensible authority is dependent upon a representation by Peter, who has actual authority, that Amanda has a certain level of authority, which is necessary in a manner of speaking, for the agent to perform their task, employment etc. (*ANZ Bank Ltd v Ateliers*). Secondly, where the actual authority is limited, then if the ostensible authority is greater than actual authority, the courts have shown that the Principal [Peter] will be bound by the actions of their agent. (*Freeman and Lockyer v Buckhurst Park Properties; Hely-Hutchinson v Brayhead Ltd*). From the facts it is clear that an acting manager *should* have enough authority to maintain the daily operations of the respective business and so trade custom will be very important: i.e. what level of authority do other acting managers in a retail clothing store have, and does it extend to hiring new staff? This question is unclear from the facts presented, but it is argued here that hiring new staff is not of the same nature as other decisions, more strategic such as extensive renovations costing larger sums of money or entering into a partnership. It is also true that Amanda's decision is not of the same nature as say replenishing stock, which clearly would be within ostensible authority of an acting manager. It is submitted here, that if the volume of business was such as to require new sales staff, then a manager would hire new staff, and this would be within their ostensible authority. It is further submitted here that an acting manager's authority would be the equivalent, if only slightly inferior to that of a full-time manager, and thus it would include hiring a new sales assistant.

Therefore, Peter is responsible for the new sales staff's wages.

Part 7:

Final Remarks

I hope the above information has been helpful. The important point to remember is that once you have identified the relevant issues, the next steps flow in a logical progression. Identifying the issue correctly will make it easier to determine which legal rule applies and thus give you some confidence that you are on the “right track”.

Two final points.

Firstly, remember, IRAC is a tool to be developed and modified to suit your style and to some extent your personality. IRAC is not meant to be applied in a robotic manner. It can be “overdone”. Try merging the rule and application stages, experiment with broad versus narrow issues statements. Experimentation is a form of practice, which is a great segue to the second point.

Secondly, there is no magic to using IRAC, so practise! After practice using IRAC becomes second nature and the best way to practise is to use IRAC when answering relevant tutorial problem style questions. IT also reinforces the substantive learning process by being a higher/ superior form of rote learning.

I wish you all the best.



Andrew Coleman
Sessional Lecturer,
RMIT University,
Swinburne University of Technology, and
Monash College.
{Anywhere they'll have me!}

July 2026.

Part 8

References

1. Author & Source unknown, *A Guide to Answering Legal Problems in Tutorial and Examinations*.
2. Coleman, A. (2018). *Writing for Business Law: A guided approach to the application of IRAC for business law students* (Unpublished paper). Retrieved from https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3247360.
3. Crosling G and Murphy H, *How to Study Business Law: Reading, Writing and Exams*, (4th edition, LexisNexis, 2009)
4. Kraal, D., & Coleman, A. (2019), 'Teaching Legal Studies in Business Degrees: A Review of a Method and its Practice', *Australian Journal of Teacher Education*, 44 (11).
5. Krever R, *Mastering Law Study and Law Exam Techniques*, (9th edition, LexisNexis, 2016)